COMPLETE LEARNING SESSION

Polity 39 - Cooperative Societies

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH

CONCEPT
Define precisely

ARGUMENT
Build the case

CRITIQUE
Test the limits

APPLICATION
Write the answer

Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Polity 39 - Cooperative Societies

Subject: Polity | **GS Paper:** GS-II | **Legal/current control date:** 8 September 2026

Core thesis: Cooperatives combine member ownership with democratic control, but their legal governance follows India's federal division. The 97th Amendment's Article 19(1)(c) and Article 43B survive; Part IXB is inoperative for ordinary State-field societies because the Amendment lacked Article 368(2) ratification, while its multi-State operation survives.

Source discipline: Constitution and statute -> binding judgment -> official institution/current policy -> OCR-searchable local books -> canonical Basic and optional Advanced owners. Executive initiatives are never treated as constitutional law, and no volatile society, financial or programme count is frozen.

BASIC LEARNING SESSION

SESSION 1 - COOPERATIVE IDENTITY: ENTERPRISE WITHOUT CAPITAL DOMINANCE

VISUAL FIRST

```
COOPERATIVE IDENTITY: ENTERPRISE WITHOUT CAPITAL DOMINANCE
CLAIM -> Cooperative identity makes the member-user, rather than outside capital or government, the
organising centre of the enterprise.
EVIDENCE -> International Cooperative Alliance Statement on the Cooperative Identity; MSCS Act,
2002, First Schedule.
ANALYSIS -> Joint ownership aligns service delivery with member needs, while democratic control
supplies voice that an investor-owned firm need not provide.
QUALIFICATION -> The ICA definition is normative; enforceable voting, capital and management rules
come from the applicable Act, rules and bye-laws.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The International Cooperative Alliance defines a cooperative as an autonomous association of persons united voluntarily to meet common economic, social and cultural needs and aspirations through a jointly owned and democratically controlled enterprise.

Technical definition: A cooperative is neither a State department nor merely a charitable association.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> A cooperative is neither a State department nor merely a charitable association.

MUST-WRITE KEYWORDS

- **Cooperative Identity**
- **Enterprise Without Capital Dominance**
- **Primary constituency**
- **Members/users**
- **Shareholders/investors**
- **Public through government**

How to use them: Frame the answer through Cooperative Identity; define Enterprise Without Capital Dominance, connect Primary constituency with Members/users to explain the mechanism, and use Shareholders/investors for the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** Cooperative identity makes the member-user, rather than outside capital or government, the organising centre of the enterprise.

- **Named evidence:** International Cooperative Alliance Statement on the Cooperative Identity; MSCS Act, 2002, First Schedule.
- **Analysis:** Joint ownership aligns service delivery with member needs, while democratic control supplies voice that an investor-owned firm need not provide.
- **Qualification:** The ICA definition is normative; enforceable voting, capital and management rules come from the applicable Act, rules and bye-laws.

Evidence

[FACT] The International Cooperative Alliance defines a cooperative as an autonomous association of persons united voluntarily to meet common economic, social and cultural needs and aspirations through a jointly owned and democratically controlled enterprise.

[ANALYSIS] A cooperative is neither a State department nor merely a charitable association. It conducts an economic or service activity, but membership and democratic control-not external capital alone-supply its institutional logic.

[LIMIT] The ICA statement is a normative global standard. It does not automatically override the Constitution, the MSCS Act, a State cooperative statute, banking law or registered bye-laws.

Visual 02 - Cooperative Enterprise Triangle

```
                COMMON NEED
             credit / milk / housing
                     /\
                    /  \
                   /    \
      JOINT OWNERSHIP----DEMOCRATIC CONTROL
      member capital      member voice

             ENTERPRISE OUTPUT
    service + bargaining power + member benefit
```

Caption: Cooperative identity joins economic activity to member ownership and control.

Visual 03 - Cooperative, Company and Department

Test	Cooperative	Investor-owned company	Government department
Primary constituency	Members/users	Shareholders/investors	Public through government
Control ideal	Democratic member control	Voting linked mainly to capital	Administrative hierarchy
Surplus logic	Member service, reserves, limited distribution under law/bye-laws	Return on capital	Budgetary/public purpose
Legal source	Cooperative statute + bye-laws	Companies law + charter	Constitution/statute/executive rules
Core risk	Elite capture or politicisation	Capital dominance	Bureaucratic control

Caption: A cooperative is a distinct institutional form, not an informal company or government office.

Prelims trap

Do not call a cooperative either a government department or a non-economic charity.

Mains use

Use the identity test to introduce any answer on autonomy, member control or cooperative reform.

Recap

Claim: Cooperative identity makes the member-user, rather than outside capital or government, the organising centre of the enterprise. **Evidence:** International Cooperative Alliance Statement on the Cooperative Identity; MSCS Act, 2002, First Schedule. **Qualification:** The ICA definition is normative; enforceable voting, capital and management rules come from the applicable Act, rules and bye-laws.

CLOSING RECALL FLOW - COOPERATIVE IDENTITY: ENTERPRISE WITHOUT CAPITAL DOMINANCE

```
START / CONCEPT: COOPERATIVE IDENTITY: ENTERPRISE WITHOUT CAPITAL DOMINANCE
        |
        v
EXACT TERMS: Cooperative Identity · Enterprise Without Capital Dominance · Primary constituency ·
Members/users · Shareholders/investors · Public through government
        |
        v
MECHANISM / ARGUMENT: The International Cooperative Alliance defines a cooperative as an autonomous
association of persons united voluntarily to meet common economic, social and cultural needs and
aspirations through a jointly owned and democratically controlled enterprise.
        |
        v
CONSEQUENCE / CONTRAST: It does not automatically override the Constitution, the MSCS Act, a State
cooperative statute, banking law or registered bye-laws.
        |
        v
UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: the ICA statement is a normative
global standard.
        |
        v
ANSWER-GRABBING FORMULATION: A cooperative is neither a State department nor merely a charitable
association.
```

SESSION 2 - SEVEN PRINCIPLES: NORM, STATUTE AND IMPLEMENTATION

VISUAL FIRST

```
SEVEN PRINCIPLES: NORM, STATUTE AND IMPLEMENTATION
CLAIM -> The seven cooperative principles are a governance compass, not a free-standing uniform
code enforceable against every Indian society.
EVIDENCE -> ICA seven principles; First Schedule to the Multi-State Co-operative Societies Act,
2002.
ANALYSIS -> The principles connect entry, voice, capital, autonomy, education, federation and
community responsibility into one member-centred design.
QUALIFICATION -> Their legal force varies: statutory for the MSCS field where incorporated, and
dependent on State law or bye-laws for State societies.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Cooperative principles guide member-owned enterprise but acquire legal force only through applicable statutes, rules and bye-laws.

Technical definition: Voluntary membership, democratic member control, member economic participation, autonomy, education, inter-cooperation and community concern operate as ICA norms and, for MSCS, through the statutory First Schedule.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Cooperative principles must be separated into normative, statutory and implementation layers.

MUST-WRITE KEYWORDS

- **cooperative principles**
- **member control**
- **economic participation**
- **autonomy**
- **First Schedule**

How to use them: Frame the answer through cooperative principles; define member control, connect economic participation with autonomy to explain the mechanism, and use First Schedule for the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** The seven cooperative principles are a governance compass, not a free-standing uniform code enforceable against every Indian society.
- **Named evidence:** ICA seven principles; First Schedule to the Multi-State Co-operative Societies Act, 2002.
- **Analysis:** The principles connect entry, voice, capital, autonomy, education, federation and community responsibility into one member-centred design.
- **Qualification:** Their legal force varies: statutory for the MSCS field where incorporated, and dependent on State law or bye-laws for State societies.

Evidence

[FACT] The ICA statement lists seven principles: voluntary and open membership; democratic member control; member economic participation; autonomy and independence; education, training and information; cooperation among cooperatives; and concern for community.

[FACT] The First Schedule to the MSCS Act also states cooperative principles for the statutory multi-State field. That statutory incorporation gives the principles legal relevance within that Act.

[LIMIT] The same sentence may be normative in an ICA document, statutory for an MSCS under the 2002 Act, and only indirectly relevant to a State cooperative unless its State law or bye-laws adopt it.

Visual 04 - Seven-Principle Wheel

```
                 [1] VOLUNTARY / OPEN
                         |
[7] COMMUNITY --- MEMBER AT CENTRE --- [2] DEMOCRATIC CONTROL
        |                |                          |
[6] COOPERATION     SHARED NEED              [3] ECONOMIC
  AMONG CO-OPS           |                    PARTICIPATION
        |                |                          |
[5] EDUCATION ---- [4] AUTONOMY / INDEPENDENCE
```

Caption: The principles protect both member agency and institutional sustainability.

Visual 05 - Three Legal Layers of a Principle

Layer	Example	Legal effect
Normative	ICA concern for community	Persuasive identity standard
Constitutional-policy	Article 43B autonomy/democratic control/professional management	Non-justiciable directive
Enforceable law	MSCS Act, State Act, rules and bye-laws	Rights, duties and sanctions within scope

Caption: Never convert a cooperative ideal into an enforceable rule without naming its legal source.

Visual 06 - Voice and Capital

```
INVESTOR MODEL: more capital -> usually more voting influence

COOPERATIVE IDEAL: membership -> democratic voice
                   capital     -> participation, not automatic domination

QUALIFICATION: exact voting rules come from the applicable Act and bye-laws.
```

Caption: "One member, one vote" is a common primary-cooperative principle, not a substitute for reading the applicable statute.

Prelims trap

Do not convert an ICA principle into constitutional or statutory law without naming the adopting source.

Mains use

Use the norm-law distinction to evaluate whether formal cooperative status produces genuine democratic control.

Recap

Claim: The seven cooperative principles are a governance compass, not a free-standing uniform code enforceable against every Indian society. **Evidence:** ICA seven principles; First Schedule to the Multi-State Co-operative Societies Act, 2002. **Qualification:** Their legal force varies: statutory for the MSCS field where incorporated, and dependent on State law or bye-laws for State societies.

CLOSING RECALL FLOW - SEVEN PRINCIPLES: NORM, STATUTE AND IMPLEMENTATION

```
START / CONCEPT: SEVEN PRINCIPLES: NORM, STATUTE AND IMPLEMENTATION
        |
        v
EXACT TERMS: cooperative principles · member control · economic participation · autonomy · First
Schedule
        |
        v
MECHANISM / ARGUMENT: Member voting, capital rules, education, inter-cooperation and community
orientation translate cooperative identity into governance practice.
        |
        v
CONSEQUENCE / CONTRAST: Legal incorporation can support the principles, but implementation still
depends on active membership and accountable management.
        |
        v
UPSC TRAP / ANSWER-USE: Do not treat every ICA principle as directly enforceable against every
State cooperative without checking its governing law and bye-laws.
        |
        v
ANSWER-GRABBING FORMULATION: Cooperative principles must be separated into normative, statutory and
implementation layers.
```

SESSION 3 - HISTORICAL AND CONSTITUTIONAL EVOLUTION

VISUAL FIRST

```
HISTORICAL AND CONSTITUTIONAL EVOLUTION
CLAIM -> Before 2011, cooperatives were already statutory bodies governed through ordinary
legislation within a settled federal division of competence.
EVIDENCE -> Co-operative Credit Societies Act, 1904; Co-operative Societies Act, 1912; Government
of India Acts, 1919 and 1935; Seventh Schedule Entries 32 and 44.
ANALYSIS -> The chronology explains why the 97th Amendment did not create cooperatives from nothing:
 it constitutionalised selected values and governance rules over a pre-existing statutory field.
QUALIFICATION -> A constitutional status claim must not erase the continuing necessity of
incorporation under a valid State or Union statute.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The historical and constitutional evolution of cooperative societies moved from provincial legislation to a constitutionally recognised but federal field.

Technical definition: Colonial statutes, State-list allocation, the MSCS framework, the 97th Amendment, Union of India v. Rajendra N. Shah (2021) and the 2023 MSCS reforms form distinct legal stages.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> The historical and constitutional evolution of cooperative societies moved from provincial legislation to a constitutionally recognised but federal field.

MUST-WRITE KEYWORDS

- **history**
- **constitutional evolution**
- **Entry 32**
- **MSCS**

How to use them: Frame the answer through history; define constitutional evolution, connect Entry 32 with MSCS to explain the mechanism, and close with the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** Before 2011, cooperatives were already statutory bodies governed through ordinary legislation within a settled federal division of competence.
- **Named evidence:** Co-operative Credit Societies Act, 1904; Co-operative Societies Act, 1912; Government of India Acts, 1919 and 1935; Seventh Schedule Entries 32 and 44.
- **Analysis:** The chronology explains why the 97th Amendment did not create cooperatives from nothing: it constitutionalised selected values and governance rules over a pre-existing statutory field.
- **Qualification:** A constitutional status claim must not erase the continuing necessity of incorporation under a valid State or Union statute.

Evidence

[FACT] The Supreme Court in *Union of India v. Rajendra N. Shah (2021)* traced Indian cooperative legislation to the **Co-operative Credit Societies Act, 1904** and the **Co-operative Societies Act, 1912**. Cooperative societies became a provincial subject under the Government of India Acts of 1919 and 1935 and entered the Constitution in State List Entry 32.

[ANALYSIS] The evolution shows continuity: cooperative organisation was treated as locally embedded, even while multi-State operation and banking required wider regulatory layers.

Visual 07 - Evolution Timeline

Year	Development	Exam significance
1904	Co-operative Credit Societies Act	Early credit-focused legislation
1912	Co-operative Societies Act	Broader cooperative legal form
1919	Provincial legislative subject	Local/provincial competence
1935	Provincial List continued	Federal lineage
1950	State List Entry 32; Union List Entry 44	Constitutional competence split
2011-12	97th Amendment enacted, assented and commenced	FR + DPSP + Part IXB
2021	*Union of India v. Rajendra N. Shah (2021)*	Federal ratification correction
2021	Ministry of Cooperation created	Executive-policy layer
2023	MSCS Amendment Act and Rules	Statutory multi-State governance reform
2025	National Cooperation Policy officially issued	Policy, not competence transfer

Caption: National policy has grown, but the original federal allocation has not disappeared.

Visual 08 - Constitutional Evolution in One Line

```
LOCAL ASSOCIATION
      ->
PROVINCIAL SUBJECT
      ->
STATE LIST ENTRY 32
      + UNION LIST ENTRY 44 FOR MULTI-STATE CORPORATIONS
      ->
97TH AMENDMENT GOVERNANCE CODE
      ->
2021 SEVERANCE BACK TO VALID FEDERAL BOUNDARY
```

Caption: The 2021 judgment restored the competence boundary rather than rejecting cooperation as a constitutional value.

Prelims trap

The 97th Amendment did not become the first legal basis for forming a cooperative society in India.

Mains use

Use the pre-2011 position to show continuity from statutory regulation to later constitutional recognition.

Recap

Claim: Before 2011, cooperatives were already statutory bodies governed through ordinary legislation within a settled federal division of competence. **Evidence:** Co-operative Credit Societies Act, 1904; Co-operative Societies Act, 1912; Government of India Acts, 1919 and 1935; Seventh Schedule Entries 32 and 44. **Qualification:** A constitutional status claim must not erase the continuing necessity of incorporation under a valid State or Union statute.

CLOSING RECALL FLOW - HISTORICAL AND CONSTITUTIONAL EVOLUTION

```
START / CONCEPT: HISTORICAL AND CONSTITUTIONAL EVOLUTION
        |
        v
EXACT TERMS: history · constitutional evolution · Entry 32 · MSCS
        |
        v
MECHANISM / ARGUMENT: Colonial statutes, State-list allocation, the MSCS framework, the 97th
Amendment, Union of India v. Rajendra N. Shah (2021) and the 2023 MSCS reforms form distinct legal
stages.
        |
        v
CONSEQUENCE / CONTRAST: This division identifies the governing legal layer before drawing an
institutional conclusion.
        |
        v
UPSC TRAP / ANSWER-USE: Do not transfer a rule across State, multi-State, constitutional, banking
or policy layers without checking competence and statutory scope.
        |
        v
ANSWER-GRABBING FORMULATION: The historical and constitutional evolution of cooperative societies
moved from provincial legislation to a constitutionally recognised but federal field.
```

SESSION 4 - TYPES AND ECONOMIC FUNCTIONS

VISUAL FIRST

```
TYPES AND ECONOMIC FUNCTIONS
CLAIM -> PACS, dairy, credit and housing societies illustrate different member problems; the label
cooperative does not create one uniform business or regulatory model.
EVIDENCE -> ICA identity framework; applicable State cooperative statutes and sectoral banking law.
ANALYSIS -> Pooling can reduce transaction costs and improve bargaining, but the governance,
capital and prudential needs of a dairy society differ from those of a deposit-taking cooperative
bank.
QUALIFICATION -> Named examples illustrate institutional forms only; they do not prove current
scale, performance or universal success.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Cooperatives pool member resources across credit, dairy, farming, housing, marketing and services.

Technical definition: Their member-owned structure can improve bargaining, scale and value addition, but sector examples do not erase differences in law, capital, risk and regulation.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Cooperatives pool member resources across credit, dairy, farming, housing, marketing and services.

MUST-WRITE KEYWORDS

- **types**
- **economic functions**
- **member ownership**
- **value chain**

How to use them: Frame the answer through types; define economic functions, connect member ownership with value chain to explain the mechanism, and close with the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** PACS, dairy, credit and housing societies illustrate different member problems; the label cooperative does not create one uniform business or regulatory model.
- **Named evidence:** ICA identity framework; applicable State cooperative statutes and sectoral banking law.
- **Analysis:** Pooling can reduce transaction costs and improve bargaining, but the governance, capital and prudential needs of a dairy society differ from those of a deposit-taking cooperative bank.

- **Qualification:** Named examples illustrate institutional forms only; they do not prove current scale, performance or universal success.

Evidence

[FACT] Cooperative forms include credit, dairy, housing, consumer, marketing, labour, producer, processing, fisheries and multipurpose societies. Their legal and regulatory treatment depends on function and territorial reach.

[LIMIT] Amul is a useful dairy-cooperative model, not proof that every cooperative has identical governance, scale or member benefit.

Visual 09 - Functional Taxonomy

Type	Shared member problem	Cooperative response
Credit	Small borrowers lack affordable access	Pooling, local intermediation
Dairy	Perishable output and weak bargaining	Collection, processing, marketing
Marketing	Fragmented farm output	Aggregation and market access
Consumer	Price/quality asymmetry	Member-oriented procurement
Housing	Land, finance and common services	Collective development/management
Labour	Weak individual bargaining	Collective contracting
Producer	Small scale and input/market gaps	Shared services and value addition

Caption: Classification should start from the member problem being solved.

Visual 10 - Rural Value Chain

```
SMALL PRODUCERS
      |
      v
LOCAL SOCIETY -> aggregation -> quality/processing -> market negotiation
      |                                       |
      +-> credit / inputs / information      +-> better price discovery

LIMIT: each arrow can fail if governance, capital or professional capacity is weak.
```

Caption: Cooperatives can reduce transaction costs, but institutional quality controls the outcome.

Visual 11 - Promise and Risk

Promise	Causal mechanism	Main risk
Local ownership	Members control enterprise	Local elite capture
Aggregation	Scale in purchase/sale	Management weakness
Inclusion	Last-mile presence	Exclusion by dominant groups
Democratic voice	Elected board	Delayed or politicised elections
Surplus retention	Member-centred use	Poor capital formation

Caption: The same local embeddedness that enables participation can also enable capture.

Prelims trap

Do not infer a common regulator or identical risk from the shared cooperative form.

Mains use

Use PACS, dairy and housing only to explain function, then return to the governing legal layer.

Recap

Claim: PACS, dairy, credit and housing societies illustrate different member problems; the label cooperative does not create one uniform business or regulatory model. **Evidence:** ICA identity framework; applicable State cooperative statutes and sectoral banking law. **Qualification:** Named examples illustrate institutional forms only; they do not prove current scale, performance or universal success.

CLOSING RECALL FLOW - TYPES AND ECONOMIC FUNCTIONS

```
START / CONCEPT: TYPES AND ECONOMIC FUNCTIONS
        |
        v
EXACT TERMS: types · economic functions · member ownership · value chain
        |
        v
MECHANISM / ARGUMENT: Their member-owned structure can improve bargaining, scale and value addition,
 but sector examples do not erase differences in law, capital, risk and regulation.
        |
        v
CONSEQUENCE / CONTRAST: This division identifies the governing legal layer before drawing an
institutional conclusion.
        |
        v
UPSC TRAP / ANSWER-USE: Do not transfer a rule across State, multi-State, constitutional, banking
or policy layers without checking competence and statutory scope.
        |
        v
ANSWER-GRABBING FORMULATION: Cooperatives pool member resources across credit, dairy, farming,
housing, marketing and services.
```

SESSION 5 - FEDERAL ARCHITECTURE BEFORE AND AFTER THE 97TH AMENDMENT

VISUAL FIRST

```
FEDERAL ARCHITECTURE BEFORE AND AFTER THE 97TH AMENDMENT
CLAIM -> Indian cooperative law is territorially divided: State societies rest principally on Entry
32, while corporations with objects not confined to one State rest on Entry 44.
EVIDENCE -> Seventh Schedule, State List Entry 32; Union List Entries 44 and 45; Article 246.
ANALYSIS -> Territorial objects choose the incorporation and registrar architecture, while banking
activity can add the separate Union prudential field under Entry 45.
QUALIFICATION -> A ministry, policy, portal or model bye-law cannot by itself transfer Entry 32
competence to Parliament.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Union List Entry 44 covers incorporation, regulation and winding up of corporations, whether trading or not, whose objects are not confined to one State.

Technical definition: State List Entry 32 covers incorporation, regulation and winding up of corporations other than those specified in List I, and expressly includes cooperative societies.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Union List Entry 44 covers incorporation, regulation and winding up of corporations, whether trading or not, whose objects are not confined to one State.

MUST-WRITE KEYWORDS

- **Federal Architecture Before**
- **After The 97Th Amendment**
- **Union List Entry 44**
- **Union List Entry 45**
- **Core object**
- **Intra-State cooperative societies**

How to use them: Frame the answer through Federal Architecture Before; define After The 97Th Amendment, connect Union List Entry 44 with Union List Entry 45 to explain the mechanism, and use Core object for the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** Indian cooperative law is territorially divided: State societies rest principally on Entry 32, while corporations with objects not confined to one State rest on Entry 44.
- **Named evidence:** Seventh Schedule, State List Entry 32; Union List Entries 44 and 45; Article 246.
- **Analysis:** Territorial objects choose the incorporation and registrar architecture, while banking activity can add the separate Union prudential field under Entry 45.
- **Qualification:** A ministry, policy, portal or model bye-law cannot by itself transfer Entry 32 competence to Parliament.

Evidence

[FACT] **State List Entry 32** covers incorporation, regulation and winding up of corporations other than those specified in List I, and expressly includes cooperative societies.

[FACT] **Union List Entry 44** covers incorporation, regulation and winding up of corporations, whether trading or not, whose objects are not confined to one State. It is the legislative base for multi-State cooperative societies.

[FACT] **Union List Entry 45** covers banking. A cooperative bank can therefore remain a cooperative under State or multi-State law while banking regulation overlays its activity.

Visual 12 - Three-Layer Competence Map

```
SOCIETY WITH OBJECTS CONFINED TO ONE STATE
        -> State List Entry 32 -> State cooperative law/Registrar

SOCIETY WITH OBJECTS NOT CONFINED TO ONE STATE
        -> Union List Entry 44 -> MSCS Act/Central Registrar

IF THE SOCIETY CARRIES ON REGULATED BANKING
        -> Union List Entry 45 + Banking Regulation Act/RBI
        -> State/MSCS incorporation layer still remains
```

Caption: Territorial reach decides the cooperative-law base; banking function adds a separate Union overlay.

Visual 13 - Entry 32 and Entry 44

Question	Entry 32, State List	Entry 44, Union List
Core object	Intra-State cooperative societies	Corporations with objects not confined to one State
Legislature	State Legislature	Parliament
Registrar	State Registrar	Central Registrar under MSCS Act
Common error	Treating every cooperative as Union subject	Treating "multi-State" as merely having members from different States without statutory status

Caption: "Cooperative" does not itself answer the legislative-competence question.

Visual 14 - Banking Overlay

```
COOPERATIVE LEGAL PERSON
   |
   +--> incorporation / board / membership -> State law or MSCS Act
   |
   +--> banking licence / prudential rules -> RBI under banking law
   |
   +--> rural cooperative-bank inspection -> NABARD statutory supervision

DUAL OR MULTIPLE REGULATION != NO REGULATION
```

Caption: Institutional law and prudential banking law regulate different dimensions.

Visual 15 - Ministry Boundary

Ministry of Cooperation may	It does not thereby
Frame Union policy and administer Union business	Convert Entry 32 into a Union subject
Administer the MSCS Act through CRCS	Replace State Registrars for State societies
Coordinate schemes, portals and model frameworks	Make model bye-laws binding without legal adoption
Promote cooperation and capacity	Adjudicate every intra-State cooperative dispute

Caption: An executive ministry cannot redraw the Seventh Schedule.

Prelims trap

Do not treat every cooperative as a Union subject merely because national schemes support it.

Mains use

Use the Entry 32/44/45 matrix before discussing Part IXB, the MSCS Act or cooperative banking.

Recap

Claim: Indian cooperative law is territorially divided: State societies rest principally on Entry 32, while corporations with objects not confined to one State rest on Entry 44. **Evidence:** Seventh Schedule, State List Entry 32; Union List Entries 44 and 45; Article 246. **Qualification:** A ministry, policy, portal or model bye-law cannot by itself transfer Entry 32 competence to Parliament.

CLOSING RECALL FLOW - FEDERAL ARCHITECTURE BEFORE AND AFTER THE 97TH AMENDMENT

```
START / CONCEPT: FEDERAL ARCHITECTURE BEFORE AND AFTER THE 97TH AMENDMENT
        |
        v
EXACT TERMS: Federal Architecture Before · After The 97Th Amendment · Union List Entry 44 · Union
List Entry 45 · Core object · Intra-State cooperative societies
        |
        v
MECHANISM / ARGUMENT: State List Entry 32 covers incorporation, regulation and winding up of
corporations other than those specified in List I, and expressly includes cooperative societies.
        |
        v
CONSEQUENCE / CONTRAST: A cooperative bank can therefore remain a cooperative under State or multi-
State law while banking regulation overlays its activity.
        |
        v
UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: it is the legislative base for multi-
State cooperative societies.
        |
        v
ANSWER-GRABBING FORMULATION: Union List Entry 44 covers incorporation, regulation and winding up of
corporations, whether trading or not, whose objects are not confined to one State.
```

SESSION 6 - THE 97TH CONSTITUTIONAL AMENDMENT: THREE DISTINCT CHANGES

VISUAL FIRST

```
THE 97TH CONSTITUTIONAL AMENDMENT: THREE DISTINCT CHANGES
CLAIM -> The 97th Amendment made three legally distinct changes: an express formation freedom, a
Directive Principle and a detailed governance Part.
EVIDENCE -> Constitution (Ninety-seventh Amendment) Act, 2011; Articles 19(1)(c), 43B and Part IXB;
commencement notification effective 15 February 2012.
ANALYSIS -> Separating the three changes prevents the later invalidity of Part IXB in the State
field from being mistaken for invalidity of the entire amendment.
QUALIFICATION -> Article 19(1)(c) remains subject to Article 19(4), while Article 43B is non-
justiciable under Article 37.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The 97th Amendment made three legally separate constitutional changes.

Technical definition: It added cooperative societies to Article 19(1)(c), inserted Article 43B and introduced Part IXB; the first two survived while Part IXB was severed by legislative field.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> The 97th Amendment made three legally separate constitutional changes.

MUST-WRITE KEYWORDS

- **97th Amendment**
- **Article 19(1)(c)**
- **Article 43B**
- **Part IXB**

How to use them: Frame the answer through 97th Amendment; define Article 19(1)(c), connect Article 43B with Part IXB to explain the mechanism, and close with the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** The 97th Amendment made three legally distinct changes: an express formation freedom, a Directive Principle and a detailed governance Part.
- **Named evidence:** Constitution (Ninety-seventh Amendment) Act, 2011; Articles 19(1)(c), 43B and Part IXB; commencement notification effective 15 February 2012.
- **Analysis:** Separating the three changes prevents the later invalidity of Part IXB in the State field from being mistaken for invalidity of the entire amendment.
- **Qualification:** Article 19(1)(c) remains subject to Article 19(4), while Article 43B is non-justiciable under Article 37.

Evidence

[FACT] The Constitution (Ninety-seventh Amendment) Act, 2011 was passed by the Lok Sabha on **27 December 2011** and Rajya Sabha on **28 December 2011**, received presidential assent on **12 January 2012**, was published on **13 January 2012**, and came into force on **15 February 2012**.

[FACT] It: (1) added "co-operative societies" to Article 19(1)(c); (2) inserted Article 43B; and (3) inserted Part IXB, Articles 243ZH-243ZT.

Visual 16 - Amendment Triptych

```
FUNDAMENTAL RIGHT          DIRECTIVE PRINCIPLE        GOVERNANCE PART
Article 19(1)(c)           Article 43B                Part IXB
formation freedom          policy direction           detailed structure
justiciable, qualified     non-justiciable             reach cut by 2021 case
```

Caption: The three changes have different legal character and different post-2021 status.

Visual 17 - Enactment Clock

```
27 Dec 2011  Lok Sabha passes
28 Dec 2011  Rajya Sabha passes
12 Jan 2012  Presidential assent
13 Jan 2012  Gazette publication
15 Feb 2012  Commencement
20 Jul 2021  Supreme Court federal-severance judgment
```

Caption: The Act is styled "2011" although assent and commencement occurred in 2012.

Visual 18 - Article 19(1)(c) Boundary

Proposition	Correct position
Can citizens form cooperative societies?	Yes, expressly protected by Article 19(1)(c)
Is the right absolute?	No; Article 19(4) permits reasonable restrictions for sovereignty/integrity, public order and morality
Does formation guarantee State recognition or aid?	No
Does it constitutionalise a preferred management regime?	No
Does it guarantee success, subsidy or immunity from regulation?	No

Caption: Formation freedom is not a constitutional promise of State patronage or regulatory exemption.

[FACT] Article 19(4) supplies the restriction grounds. The wider association doctrine also distinguishes the right to form an association from every consequential claim of recognition, bargaining success, aid or a particular statutory benefit.

[ANALYSIS] A State may regulate registration, solvency, elections, audit and member protection, but a restriction on formation must still satisfy the applicable constitutional test.

Visual 19 - Article 43B

```
VOLUNTARY FORMATION
        +
AUTONOMOUS FUNCTIONING
        +
DEMOCRATIC CONTROL
        +
PROFESSIONAL MANAGEMENT
        =
ARTICLE 43B POLICY DIRECTION

Article 37 control: fundamental in governance, but not directly enforceable.
```

Caption: Article 43B balances autonomy with democratic and professional governance.

Prelims trap

Do not call Article 43B a Fundamental Right or say Part IXB commenced in 2011 merely because the Act carries that year.

Mains use

Use the three-column amendment structure as the foundation of every constitutional-status answer.

Recap

Claim: The 97th Amendment made three legally distinct changes: an express formation freedom, a Directive Principle and a detailed governance Part. **Evidence:** Constitution (Ninety-seventh Amendment) Act, 2011; Articles 19(1)(c), 43B and Part IXB; commencement notification effective 15 February 2012. **Qualification:** Article 19(1)(c) remains subject to Article 19(4), while Article 43B is non-justiciable under Article 37.

CLOSING RECALL FLOW - THE 97TH CONSTITUTIONAL AMENDMENT: THREE DISTINCT CHANGES

```
START / CONCEPT: THE 97TH CONSTITUTIONAL AMENDMENT: THREE DISTINCT CHANGES
        |
        v
EXACT TERMS: 97th Amendment · Article 19(1)(c) · Article 43B · Part IXB
        |
        v
MECHANISM / ARGUMENT: It added cooperative societies to Article 19(1)(c), inserted Article 43B and
introduced Part IXB; the first two survived while Part IXB was severed by legislative field.
        |
        v
CONSEQUENCE / CONTRAST: This division identifies the governing legal layer before drawing an
institutional conclusion.
        |
        v
UPSC TRAP / ANSWER-USE: Do not transfer a rule across State, multi-State, constitutional, banking
or policy layers without checking competence and statutory scope.
        |
        v
ANSWER-GRABBING FORMULATION: The 97th Amendment made three legally separate constitutional changes.
```

SESSION 7 - UNION OF INDIA V. RAJENDRA N. SHAH (2021)

VISUAL FIRST

```
UNION OF INDIA V. RAJENDRA N. SHAH (2021)
CLAIM -> Union of India v. Rajendra N. Shah is a ratification-and-severability ruling that restores
the federal boundary without nullifying the whole 97th Amendment.
EVIDENCE -> Union of India v. Rajendra N. Shah, judgment dated 20 July 2021; Article 368(2) proviso;
 Entries 32 and 44; Article 243ZR.
ANALYSIS -> Part IXB substantially constrained State legislative choices and therefore required
ratification by at least half the States; absence of ratification invalidated its State-field
operation.
QUALIFICATION -> The majority saved Part IXB for multi-State cooperative societies and left
Articles 19(1)(c) and 43B intact; the dissent opposed severance.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Union of India v. Rajendra N. Shah (2021) enforced federal ratification requirements while preserving the valid multi-State field.

Technical definition: The majority invalidated Part IXB for State-field cooperatives for want of Article 368(2) ratification, preserved Articles 19(1)(c) and 43B, and severed Article 243ZR for MSCS application.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Union of India v. Rajendra N. Shah (2021) enforced federal ratification requirements while preserving the valid multi-State field.

MUST-WRITE KEYWORDS

- **Union of India v. Rajendra N. Shah (2021)**
- **Article 368(2)**
- **severability**
- **Entry 32**

How to use them: Frame the answer through Union of India v. Rajendra N. Shah (2021); define Article 368(2), connect severability with Entry 32 to explain the mechanism, and close with the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** Union of India v. Rajendra N. Shah is a ratification-and-severability ruling that restores the federal boundary without nullifying the whole 97th Amendment.
- **Named evidence:** Union of India v. Rajendra N. Shah, judgment dated 20 July 2021; Article 368(2) proviso; Entries 32 and 44; Article 243ZR.
- **Analysis:** Part IXB substantially constrained State legislative choices and therefore required ratification by at least half the States; absence of ratification invalidated its State-field operation.
- **Qualification:** The majority saved Part IXB for multi-State cooperative societies and left Articles 19(1)(c) and 43B intact; the dissent opposed severance.

Evidence

[FACT] The issue was whether Part IXB altered the States' legislative field without the ratification of at least half of the State Legislatures required by the proviso to Article 368(2).

[FACT] The majority held that Part IXB substantially constrained State legislative power under Entry 32. Because the amendment had not received the required State ratification, Part IXB could not operate for cooperative societies within the State legislative field.

[FACT] The Court applied severability. Article 19(1)(c) and Article 43B remained untouched; Part IXB remained operative for multi-State cooperative societies.

Visual 20 - Amendment Procedure Test

```
Does amendment affect a matter in Article 368(2) proviso?
                    |
                  YES
                    |
Special majority in Parliament
                    +
Ratification by at least half of State Legislatures
                    |
97th Amendment had first limb but not State-ratification limb
                    |
Part IXB invalid in State legislative field
```

Caption: Ratification is a federal consent device, not a procedural formality.

Visual 21 - Case Logic

Step	Named evidence	Consequence
1	Entry 32, State List	States possess cooperative legislative field
2	Articles 243ZI-243ZQ constrain State law	Legislative field was substantively altered
3	Proviso to Article 368(2)	Half-State ratification required
4	No such ratification	State-field application invalid
5	Article 243ZR separable for MSCS	Multi-State application survives

Caption: The judgment protects federal legislative competence through amendment procedure.

Visual 22 - Majority and Dissent

Opinion	Position on severability	Result
Nariman and Gavai JJ.	Multi-State scheme could stand independently through Article 243ZR	Saved Part IXB for MSCS
K.M. Joseph J.	Valid and invalid provisions were too interdependent	Would not save the Part through severance

Caption: Use the majority as law; mention the dissent only for analytical depth.

Visual 23 - Exact Surviving Field, Including the UT Nuance

```
PART IXB AFTER THE MAJORITY JUDGMENT

Multi-State cooperative society operating across States       -> survives
Multi-State cooperative society with operations in a UT       -> survives
Cooperative confined within one State                          -> does not bind
Cooperative confined within a single Union Territory           -> para 78 says no

OPERATIVE PARA 80:
Part IXB operates for multi-State cooperative societies
"both within the various States and in the Union territories".
```

Caption: "MSCS and all UT cooperatives" is overbroad; the official judgment saves MSCS, including their operation in UTs.

[LIMIT] Article 243ZS remains textually in the Constitution. However, majority paragraph 78 expressly says Part IXB has no application to a cooperative with no ramifications outside the Union Territory itself. The safest answer is therefore **MSCS in States and UTs**, not a blanket claim that every UT-confined cooperative is constitutionally governed by Part IXB.

Visual 24 - What the Court Did Not Do

Incorrect statement	Correct control
Entire 97th Amendment struck down	No; Article 19(1)(c) and Article 43B remain
All Part IXB text deleted	No; its operative reach was severed
Cooperatives became Union subjects	No; Entry 32 continues
Every UT cooperative is covered	No; use paragraphs 78 and 80 together
State laws cannot adopt similar standards	They may independently enact them within State competence

Caption: The judgment is a field-and-procedure ruling, not an anti-cooperative ruling.

Prelims trap

Do not write that the Supreme Court struck down the entire 97th Amendment.

Mains use

Use Entry 32 -> Article 368(2) -> ratification failure -> Article 243ZR severance as the case paragraph.

Recap

Claim: Union of India v. Rajendra N. Shah is a ratification-and-severability ruling that restores the federal boundary without nullifying the whole 97th Amendment. **Evidence:** Union of India v. Rajendra N. Shah, judgment dated 20 July 2021; Article 368(2) proviso; Entries 32 and 44; Article 243ZR. **Qualification:** The majority saved Part IXB for multi-State cooperative societies and left Articles 19(1)(c) and 43B intact; the dissent opposed severance.

CLOSING RECALL FLOW - UNION OF INDIA V. RAJENDRA N. SHAH (2021)

```
START / CONCEPT: UNION OF INDIA V. RAJENDRA N. SHAH (2021)
        |
        v
EXACT TERMS: Union of India v. Rajendra N. Shah (2021) · Article 368(2) · severability · Entry 32
        |
        v
MECHANISM / ARGUMENT: The majority invalidated Part IXB for State-field cooperatives for want of
Article 368(2) ratification, preserved Articles 19(1)(c) and 43B, and severed Article 243ZR for
MSCS application.
        |
        v
CONSEQUENCE / CONTRAST: This division identifies the governing legal layer before drawing an
institutional conclusion.
        |
        v
UPSC TRAP / ANSWER-USE: Do not transfer a rule across State, multi-State, constitutional, banking
or policy layers without checking competence and statutory scope.
        |
        v
ANSWER-GRABBING FORMULATION: Union of India v. Rajendra N. Shah (2021) enforced federal
ratification requirements while preserving the valid multi-State field.
```

SESSION 8 - PART IXB MASTER MAP: ARTICLES 243ZH-243ZT

VISUAL FIRST

```
PART IXB MASTER MAP: ARTICLES 243ZH-243ZT
CLAIM -> Part IXB is a complete governance cycle from legal definition and incorporation to
elections, audit, member information, returns and offences.
EVIDENCE -> Constitution of India, Articles 243ZH to 243ZT, read with Union of India v. Rajendra N.
Shah (2021).
ANALYSIS -> The sequence seeks voluntary formation, democratic continuity and accountable
management through linked institutional duties rather than isolated numerical rules.
QUALIFICATION -> After Rajendra N. Shah, these detailed constitutional commands operate in the
surviving multi-State field, not as direct commands for ordinary State societies.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Part IXB maps incorporation, boards, elections, supersession, audit, returns, offences and application.

Technical definition: Articles 243ZH-ZT create a governance code whose current binding constitutional field must be limited after Union of India v. Rajendra N. Shah (2021) to the valid multi-State sphere.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Part IXB maps incorporation, boards, elections, supersession, audit, returns, offences and application.

MUST-WRITE KEYWORDS

- **Articles 243ZH-ZT**
- **board**
- **elections**
- **audit**
- **supersession**

How to use them: Frame the answer through Articles 243ZH-ZT; define board, connect elections with audit to explain the mechanism, and use supersession for the decisive comparison or qualification.

[LIMIT] The following provisions are mapped as constitutional text **within the surviving field identified by the 2021 majority**. They must not be presented as binding constitutional commands for ordinary State-field cooperatives.

Claim -> named evidence -> analysis -> qualification

- **Claim:** Part IXB is a complete governance cycle from legal definition and incorporation to elections, audit, member information, returns and offences.

- **Named evidence:** Constitution of India, Articles 243ZH to 243ZT, read with Union of India v. Rajendra N. Shah (2021).
- **Analysis:** The sequence seeks voluntary formation, democratic continuity and accountable management through linked institutional duties rather than isolated numerical rules.
- **Qualification:** After Rajendra N. Shah, these detailed constitutional commands operate in the surviving multi-State field, not as direct commands for ordinary State societies.

Evidence

Visual 25 - Article Map

Article	Subject
243ZH	Definitions
243ZI	Incorporation, regulation and winding up
243ZJ	Board number, reservation and term
243ZK	Board elections
243ZL	Supersession/suspension and interim management
243ZM	Audit
243ZN	Annual general body meeting
243ZO	Member information, participation and education
243ZP	Returns
243ZQ	Offences and penalties
243ZR	Application to MSCS
243ZS	Textual application to UTs, judicially qualified
243ZT	Transitional continuance of laws

Caption: Learn Part IXB as a governance sequence, not thirteen isolated labels.

Visual 26 - Articles 243ZH and 243ZI

Article 243ZH expression	Exact legal meaning in the Part
Authorised person	Person referred to as such in Article 243ZQ
Board	Directors/governing body entrusted with direction and control of management
Cooperative society	Society registered or deemed registered under a State cooperative law
Multi-State cooperative society	Society with objects not confined to one State and registered under the relevant central law
Office bearer	President, Vice-President, Chairperson, Vice-Chairperson, Secretary, Treasurer or another person elected by the board
Registrar	Central Registrar for MSCS; State Registrar for societies under State law
State Act	Law made by a State Legislature
State-level cooperative society	Society whose area of operation extends throughout a State and is defined as such by State law

```
243ZI -> incorporation + regulation + winding up by competent law
DESIGN BASIS -> voluntary formation + democratic member control
             + member economic participation + autonomous functioning
POST-2021 -> detailed constitutional command survives for the multi-State field.
```

Caption: Article 243ZI constitutionalises a design basis, not a self-executing registration form.

Visual 27 - Article 243ZJ Board Design

Element	Constitutional text
Maximum elected directors	21
Reservation	One SC/ST seat and two women seats for a society of individual members having members from those categories
Elected board/office-bearer term	Five years from election; conterminous
Co-opted experts	Up to two beyond the 21; banking/management/finance/related expertise
Co-opted voting limit	No vote in office-bearer election; cannot be office bearer
Functional directors	May be on board; excluded from the 21 count

Caption: Reservation and co-option carry qualifications; avoid absolute shorthand.

Visual 28 - Article 243ZK Election Clock

```
OUTGOING BOARD TERM APPROACHES EXPIRY
              |
election must be conducted before expiry
              |
new board assumes office immediately on expiry
              |
electoral rolls + election control vest in statutory authority/body
```

Caption: The objective is continuity of elected management, not post-expiry regularisation.

Visual 29 - Article 243ZL Supersession Screen

```
POSSIBLE GROUNDS
persistent default | negligence | prejudicial act | board stalemate
| statutory election-authority failure
                           |
GENERAL TEXTUAL CEILING: six months
                           |
NO GOVERNMENT share/loan/assistance/guarantee?
-> no supersession/suspension under Article 243ZL text
                           |
BANKING SOCIETY?
-> Banking Regulation Act also applies
-> one-year substitution is textually only for a banking cooperative
   other than a multi-State cooperative society
                           |
POST-RAJENDRA CONTROL
State-field Part IXB command is invalid; do not present the one-year proviso
as a direct constitutional ceiling for ordinary State cooperative banks.
```

Caption: Supersession is exceptional, time-bound and subject to financial-link and banking provisos.

Visual 30 - Articles 243ZM-243ZP Compliance Clock

Stage	Rule in constitutional text
Accounts	Audit at least once each financial year
Auditor	Eligible qualifications set by law; general body appoints from approved panel
Audit completion	Within six months of financial-year close
AGM	Within six months of financial-year close
Member information	Access to books/information/accounts concerning regular business with member, as law provides
Returns	Within six months of financial-year close

Caption: Audit, AGM and returns form a six-month accountability cycle.

Visual 31 - Article 243ZQ Offence Families

```
FALSE RETURN / FALSE INFORMATION
        +
DISOBEYING SUMMONS OR LAWFUL ORDER
        +
FAILURE TO REMIT EMPLOYEE DEDUCTIONS
        +
FAILURE TO HAND OVER RECORDS / PROPERTY
        +
CORRUPT ELECTORAL PRACTICE
```

Caption: Article 243ZQ requires the law to include specified governance failures as offences.

Visual 32 - Articles 243ZR-243ZT

Article	Function	Present qualification
243ZR	Reads State references as Parliament/Central Act/Central Government for MSCS	Core severability bridge
243ZS	Applies Part text to UTs with textual adaptations	Read with *Union of India v. Rajendra N. Shah (2021)* para 78
243ZT	Keeps inconsistent pre-amendment law until amendment/repeal or one year, whichever earlier	Transitional, not permanent validation

Caption: Articles 243ZR and 243ZS cannot be reduced to the slogan "MSCS plus UTs".

Prelims trap

Do not recite a Part IXB number without its proviso, clause or post-2021 field qualification.

Mains use

Use the article chain ZH definitions -> ZI incorporation -> ZJ-L board control -> ZM-Q accountability -> ZR-T application.

Recap

Claim: Part IXB is a complete governance cycle from legal definition and incorporation to elections, audit, member information, returns and offences. **Evidence:** Constitution of India, Articles 243ZH to 243ZT, read with Union of India v. Rajendra N. Shah (2021). **Qualification:** After Rajendra N. Shah, these detailed constitutional commands operate in the surviving multi-State field, not as direct commands for ordinary State societies.

CLOSING RECALL FLOW - PART IXB MASTER MAP: ARTICLES 243ZH-243ZT

```
START / CONCEPT: PART IXB MASTER MAP: ARTICLES 243ZH-243ZT
        |
        v
EXACT TERMS: Articles 243ZH-ZT · board · elections · audit · supersession
        |
        v
MECHANISM / ARGUMENT: Articles 243ZH-ZT create a governance code whose current binding
constitutional field must be limited after Union of India v. Rajendra N. Shah (2021) to the valid
multi-State sphere.
        |
        v
CONSEQUENCE / CONTRAST: This division identifies the governing legal layer before drawing an
institutional conclusion.
        |
        v
UPSC TRAP / ANSWER-USE: Do not transfer a rule across State, multi-State, constitutional, banking
or policy layers without checking competence and statutory scope.
        |
        v
ANSWER-GRABBING FORMULATION: Part IXB maps incorporation, boards, elections, supersession, audit,
returns, offences and application.
```

SESSION 9 - STATE COOPERATIVES AND MULTI-STATE COOPERATIVES AFTER 2021

VISUAL FIRST

```
STATE COOPERATIVES AND MULTI-STATE COOPERATIVES AFTER 2021
CLAIM -> State and multi-State cooperatives now share constitutional values but operate through
different incorporation, registrar, election and audit authorities.
EVIDENCE -> Entries 32 and 44; State cooperative laws; MSCS Act, 2002; Article 243ZR; Rajendra N.
Shah (2021).
ANALYSIS -> The distinction preserves State legislative autonomy while allowing Parliament to
regulate societies whose objects genuinely cross State boundaries.
QUALIFICATION -> A society does not become an MSCS merely because some members live elsewhere; its
objects and registration under the central Act are decisive.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: After 2021, State-field and multi-State cooperatives follow distinct operative legal regimes.

Technical definition: State-field societies follow State law under Entry 32; MSCS follow the 2002 parliamentary Act under Entry 44 and the valid Part IXB field, with the judgment's precise Union-Territory qualification.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> After Union of India v. Rajendra N. Shah (2021), the first task is to classify the society by legislative field.

MUST-WRITE KEYWORDS

- **multi-State cooperatives**
- **Entry 32**
- **Entry 44**
- **Part IXB**

How to use them: Frame the answer through multi-State cooperatives; define Entry 32, connect Entry 44 with Part IXB to explain the mechanism, and close with the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** State and multi-State cooperatives now share constitutional values but operate through different incorporation, registrar, election and audit authorities.
- **Named evidence:** Entries 32 and 44; State cooperative laws; MSCS Act, 2002; Article 243ZR; Rajendra N. Shah (2021).

- **Analysis:** The distinction preserves State legislative autonomy while allowing Parliament to regulate societies whose objects genuinely cross State boundaries.
- **Qualification:** A society does not become an MSCS merely because some members live elsewhere; its objects and registration under the central Act are decisive.

Evidence

[FACT] A cooperative whose objects are confined to one State is governed primarily by the applicable State cooperative law, State rules, registered bye-laws and State Registrar.

[FACT] Such societies remain subject to Article 19(1)(c), Article 43B and other generally applicable constitutional rights and limitations. Part IXB governance specifics are not binding constitutional commands in the State field after *Union of India v. Rajendra N. Shah (2021)*.

[ANALYSIS] A State legislature may independently adopt five-year terms, election authorities, audit rules or reservation provisions. Their force then comes from State law, not directly from invalidated Part IXB application.

Visual 33 - Two Operative Regimes

Dimension	State-field society	Multi-State cooperative society
Legislative base	Entry 32, State List	Entry 44, Union List
Principal law	State Cooperative Societies Act	MSCS Act, 2002 as amended
Registrar	State Registrar	Central Registrar
Part IXB	Not binding for governance specifics	Operative through Article 243ZR
FR/DPSP	Article 19(1)(c) and 43B remain	Article 19(1)(c) and 43B remain
Banking overlay	If banking activity is covered	If banking activity is covered

Caption: Constitutional values are common; operative governance statutes differ.

Visual 34 - Source Hierarchy for an Exam Problem

```
1. Identify territorial reach
2. Choose State Act or MSCS Act
3. Add Part IXB only within surviving field
4. Add banking/sectoral law if relevant
5. Apply registered bye-laws
6. Apply constitutional rights and judicial review
```

Caption: Starting with Part IXB before identifying the society is a common analytical error.

Prelims trap

Do not substitute the Central Registrar for the State Registrar in an intra-State society problem.

Mains use

Use a four-column comparison covering law, registrar, elections and audit before analysing reform.

Recap

Claim: State and multi-State cooperatives now share constitutional values but operate through different incorporation, registrar, election and audit authorities. **Evidence:** Entries 32 and 44; State cooperative laws; MSCS Act, 2002; Article 243ZR; Rajendra N. Shah (2021). **Qualification:** A society does not become an MSCS merely because some members live elsewhere; its objects and registration under the central Act are decisive.

CLOSING RECALL FLOW - STATE COOPERATIVES AND MULTI-STATE COOPERATIVES AFTER 2021

```
START / CONCEPT: STATE COOPERATIVES AND MULTI-STATE COOPERATIVES AFTER 2021
        |
        v
EXACT TERMS: multi-State cooperatives · Entry 32 · Entry 44 · Part IXB
        |
        v
MECHANISM / ARGUMENT: Identify whether objects are confined to one State, then apply the relevant
statute, Registrar and surviving constitutional rules.
        |
        v
CONSEQUENCE / CONTRAST: This classification prevents invalid Part IXB rules from being imposed on
State-field societies.
        |
        v
UPSC TRAP / ANSWER-USE: Do not infer multi-State status merely from members or branches in several
districts, and do not extend Part IXB to every UT-confined society.
        |
        v
ANSWER-GRABBING FORMULATION: After Union of India v. Rajendra N. Shah (2021), the first task is to
classify the society by legislative field.
```

SESSION 10 - MSCS ACT, 2002 AND THE 2023 AMENDMENT

VISUAL FIRST

```
MSCS ACT, 2002 AND THE 2023 AMENDMENT
CLAIM -> The 2023 amendment strengthens the MSCS statutory framework through specialised election,
grievance, information, conflict and rehabilitation mechanisms.
EVIDENCE -> Multi-State Co-operative Societies Act, 2002 as amended by Act 11 of 2023; 2023
Amendment Rules; sections 45, 63A-63C, 70A, 85A and 106.
ANALYSIS -> The design shifts accountability beyond episodic Registrar intervention toward
scheduled elections, member remedies, conflict controls and differentiated audit.
QUALIFICATION -> These institutions govern the MSCS field only and remain subject to natural
justice, banking-law overlays and implementation capacity.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The MSCS Act governs societies whose objects are not confined to one State.

Technical definition: The 2023 amendment added the Co-operative Election Authority, Ombudsman, Information Officer, rehabilitation fund, audit and conflict-governance controls within the statutory multi-State field.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> The MSCS Act governs societies whose objects are not confined to one State.

MUST-WRITE KEYWORDS

- **MSCS Act**
- **2023 amendment**
- **Election Authority**
- **Ombudsman**
- **Information Officer**

How to use them: Frame the answer through MSCS Act; define 2023 amendment, connect Election Authority with Ombudsman to explain the mechanism, and use Information Officer for the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** The 2023 amendment strengthens the MSCS statutory framework through specialised election, grievance, information, conflict and rehabilitation mechanisms.
- **Named evidence:** Multi-State Co-operative Societies Act, 2002 as amended by Act 11 of 2023; 2023 Amendment Rules; sections 45, 63A-63C, 70A, 85A and 106.

- **Analysis:** The design shifts accountability beyond episodic Registrar intervention toward scheduled elections, member remedies, conflict controls and differentiated audit.
- **Qualification:** These institutions govern the MSCS field only and remain subject to natural justice, banking-law overlays and implementation capacity.

Evidence

[FACT] The MSCS Act governs societies whose objects are not confined to one State. The 2023 Amendment Act is enacted law, commenced on **3 August 2023**; the corresponding Amendment Rules were notified on **4 August 2023**.

[CURRENT] The official India Code consolidation checked for this package is marked **as on 27 June 2025**. Official Ministry material through the control date did not disclose a later amending Act replacing the 2023 reform framework.

Visual 35 - 2023 Reform Architecture

```
ELECTIONS       -> Co-operative Election Authority
BOARD           -> representation + conflict/nepotism controls
AUDIT           -> statutory panels + concurrent audit for notified large societies
GRIEVANCE       -> Co-operative Ombudsman
INFORMATION     -> Co-operative Information Officer
DISTRESS        -> rehabilitation/reconstruction/development fund
REPORTING       -> stronger digital annual-return architecture
MERGER          -> route for State cooperative to merge into existing MSCS
```

Caption: The reform is a statutory governance package, not a second constitutional amendment.

Visual 36 - Co-operative Election Authority

Feature	Exact statutory position
Composition	Chairperson, Vice-Chairperson and not more than three Members
Appointment	Central Government on Selection Committee recommendation
Core function	Conduct MSCS elections; supervise/direct/control electoral-roll preparation
Board election	Secret ballot; held in general meeting
Advance trigger	Chairperson and Chief Executive inform Authority six months before board-term expiry
Term of elected board	Five years

Caption: The Authority governs MSCS elections; it is not the election body for every State cooperative.

Visual 37 - Board and Conflict Controls

Reform area	Statutory rule
Board ceiling	Not more than 21 directors under section 41
Representation	One SC/ST and two women where individual membership includes those categories
Co-option	Up to two co-opted members beyond the ceiling, with limited office-bearer rights
Conflict	Interested director cannot participate/vote on relevant contract/arrangement
Recruitment	Relative of sitting director barred from recruitment, including as Chief Executive
Consequence	Violation can disqualify director and void relevant proceedings

Caption: Representation and anti-nepotism rules address different governance failures.

Visual 38 - Rehabilitation, Reconstruction and Development Fund

```
CONTRIBUTOR:
MSCS in profit for preceding three financial years

ANNUAL CREDIT:
Rs 1 crore OR 1% of net profit, whichever is less

USES:
revival of statutorily defined sick MSCS
        +
development/infrastructure assistance subject to section 63C conditions

BANK QUALIFICATION:
reconstruction of sick multi-State cooperative bank needs prior RBI approval
```

Caption: The fund is contribution-conditioned and legally targeted; it is not an unlimited bailout.

Visual 39 - Audit Ladder

Audit layer	Applicability
Annual statutory audit	MSCS under section 70
National cooperative audit report	Laid before each House of Parliament
Concurrent audit	Section 70A for turnover/deposit above Central Government-notified amount
Threshold control	Section 70A leaves the amount to Central Government notification; state the live threshold only with a dated official source
Auditor source	Panel approved by Central Registrar

Caption: Concurrent-audit coverage is delegated to notification; the Act itself does not permanently hard-code a monetary threshold.

Visual 40 - Member Grievance and Information

```
MEMBER COMPLAINT
 deposits / equitable benefits / individual-right issue
             |
   CO-OPERATIVE OMBUDSMAN
   inquiry and adjudication within 3 months
             |
direction -> society compliance within 1 month
             |
society appeal -> Central Registrar within 1 month
decision target -> 45 days

INFORMATION ROUTE
member -> Information Officer -> provide/reject within 30 days
rejection -> appeal to Ombudsman within 1 month
```

Caption: Ombudsman jurisdiction is member-centred and statutorily specified, not a general public grievance portal.

Visual 41 - Merger and Amalgamation Routes

Route	Qualification
MSCS amalgamation/division	Two-thirds of members present and voting at relevant general meetings, plus member/creditor safeguards
State cooperative into existing MSCS	Two-thirds resolution, subject to its State Cooperative Societies Act
Cooperative bank under moratorium	Central Registrar scheme with prior written RBI approval

Caption: "Merger permitted" is incomplete unless the resolution, creditor and banking qualifications are stated.

Visual 42 - Current Compliance Control

```
MSCS annual activities
      |
online return to CRCS within six months
      |
audited accounts + meeting/election declaration
related-party and relative-employee disclosures
      |
non-filing can trigger statutory consequences

LIMIT: portal filing proves submission, not substantive good governance.
```

Caption: Digitisation can improve traceability but cannot by itself create member participation.

Prelims trap

The Co-operative Election Authority is neither the Election Commission of India nor the election body for every State society.

Mains use

Use the 2023 mechanisms as statutory evidence, not as proof that legislative competence has changed.

Recap

Claim: The 2023 amendment strengthens the MSCS statutory framework through specialised election, grievance, information, conflict and rehabilitation mechanisms. **Evidence:** Multi-State Co-operative Societies Act, 2002 as amended by Act 11 of 2023; 2023 Amendment Rules; sections 45, 63A-63C, 70A, 85A and 106. **Qualification:** These institutions govern the MSCS field only and remain subject to natural justice, banking-law overlays and implementation capacity.

CLOSING RECALL FLOW - MSCS ACT, 2002 AND THE 2023 AMENDMENT

```
START / CONCEPT: MSCS ACT, 2002 AND THE 2023 AMENDMENT
        |
        v
EXACT TERMS: MSCS Act · 2023 amendment · Election Authority · Ombudsman · Information Officer
        |
        v
MECHANISM / ARGUMENT: The 2023 amendment added the Co-operative Election Authority, Ombudsman,
Information Officer, rehabilitation fund, audit and conflict-governance controls within the
statutory multi-State field.
        |
        v
CONSEQUENCE / CONTRAST: This division identifies the governing legal layer before drawing an
institutional conclusion.
        |
        v
UPSC TRAP / ANSWER-USE: Do not transfer a rule across State, multi-State, constitutional, banking
or policy layers without checking competence and statutory scope.
        |
        v
ANSWER-GRABBING FORMULATION: The MSCS Act governs societies whose objects are not confined to one
State.
```

SESSION 11 - MINISTRY OF COOPERATION, CENTRAL REGISTRAR AND CURRENT POLICY

VISUAL FIRST

```
MINISTRY OF COOPERATION, CENTRAL REGISTRAR AND CURRENT POLICY
CLAIM -> The Ministry of Cooperation supplies Union policy and administration, while legal control
continues to follow the constitutional and statutory allocation.
EVIDENCE -> Allocation of Business change dated 6 July 2021; MSCS Act section 4; National
Cooperation Policy 2025 launched 24 July 2025.
ANALYSIS -> A dedicated Ministry can coordinate capacity, digital systems and multi-State
administration, but State Registrars remain the primary statutory authorities for State societies.
QUALIFICATION -> National policy and executive initiatives do not amend Entries 32, 44 or 45 and
must be described with a date-controlled policy label.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The Ministry coordinates policy while the Central Registrar exercises statutory MSCS functions.

Technical definition: Executive policy cannot transfer Entry 32 competence; CRCS registration, election and ombudsman processes arise from the MSCS statute and must be described with dated official evidence.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> The Ministry coordinates policy while the Central Registrar exercises statutory MSCS functions.

MUST-WRITE KEYWORDS

- **Ministry of Cooperation**
- **Central Registrar**
- **CRCS**
- **Entry 32**

How to use them: Frame the answer through Ministry of Cooperation; define Central Registrar, connect CRCS with Entry 32 to explain the mechanism, and close with the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** The Ministry of Cooperation supplies Union policy and administration, while legal control continues to follow the constitutional and statutory allocation.
- **Named evidence:** Allocation of Business change dated 6 July 2021; MSCS Act section 4; National Cooperation Policy 2025 launched 24 July 2025.
- **Analysis:** A dedicated Ministry can coordinate capacity, digital systems and multi-State administration, but State Registrars remain the primary statutory authorities for State societies.
- **Qualification:** National policy and executive initiatives do not amend Entries 32, 44 or 45 and must be described with a date-controlled policy label.

Evidence

[FACT] The Ministry of Cooperation was created through an executive allocation-of-business change notified on **6 July 2021**. It provides a Union administrative, legal and policy framework and administers Union cooperative business.

[FACT] The Central Registrar's office is the statutory authority responsible for registration and regulatory processes concerning MSCS, including filings, management-related processes, complaints, elections and liquidation under the Act.

[CURRENT] The official **National Cooperation Policy 2025** is a policy framework. It does not amend Entries 32, 44 or 45 and does not replace State cooperative legislation.

Visual 43 - Institution Map

```
MINISTRY OF COOPERATION
      |
      +--> Union policy / coordination / schemes
      |
      +--> CENTRAL REGISTRAR (statutory MSCS administration)
      |       +-> registration
      |       +-> filings / audit / inquiry / liquidation functions
      |
      +--> MSCS-specific authorities under amended Act

STATE GOVERNMENT
      |
      +--> STATE REGISTRAR -> State-field societies under State law
```

Caption: The two registrar systems correspond to two legislative fields.

Visual 44 - Policy Federalism Filter

Policy instrument	Constitutional use	Constitutional limit
National policy	Shared direction and reform agenda	Cannot legislate on Entry 32 by itself
Model bye-laws	Template and convergence	Need lawful State/society adoption
Digital portal	Filing and transparency infrastructure	Cannot prove autonomy or participation
Financial support	Incentive and capacity	Conditions must respect competence and law

Caption: Cooperative federalism works through consent, lawful incentives and coordination-not competence substitution.

Prelims trap

Do not convert an executive programme, model bye-law or portal into constitutional law.

Mains use

Use the Ministry/CRCS/State Registrar firewall to assess revival versus centralisation.

Recap

Claim: The Ministry of Cooperation supplies Union policy and administration, while legal control continues to follow the constitutional and statutory allocation. **Evidence:** Allocation of Business change dated 6 July 2021; MSCS Act section 4; National Cooperation Policy 2025 launched 24 July 2025. **Qualification:** National policy and executive initiatives do not amend Entries 32, 44 or 45 and must be described with a date-controlled policy label.

CLOSING RECALL FLOW - MINISTRY OF COOPERATION, CENTRAL REGISTRAR AND CURRENT POLICY

```
START / CONCEPT: MINISTRY OF COOPERATION, CENTRAL REGISTRAR AND CURRENT POLICY
        |
        v
EXACT TERMS: Ministry of Cooperation · Central Registrar · CRCS · Entry 32
        |
        v
MECHANISM / ARGUMENT: Executive policy cannot transfer Entry 32 competence; CRCS registration,
election and ombudsman processes arise from the MSCS statute and must be described with dated
official evidence.
        |
        v
CONSEQUENCE / CONTRAST: This division identifies the governing legal layer before drawing an
institutional conclusion.
        |
        v
UPSC TRAP / ANSWER-USE: Do not transfer a rule across State, multi-State, constitutional, banking
or policy layers without checking competence and statutory scope.
        |
        v
ANSWER-GRABBING FORMULATION: The Ministry coordinates policy while the Central Registrar exercises
statutory MSCS functions.
```

SESSION 12 - COOPERATIVE BANKS: DUAL AND MULTIPLE REGULATION

VISUAL FIRST

```
COOPERATIVE BANKS: DUAL AND MULTIPLE REGULATION
CLAIM -> Cooperative banks face multiple regulation because cooperative incorporation and banking
prudence answer different legal questions.
EVIDENCE -> Union List Entry 45; Banking Regulation Act, 1949 as applicable to cooperative
societies; Banking Regulation (Amendment) Act, 2020; RBI and NABARD statutory material.
ANALYSIS -> The Registrar addresses cooperative identity and specified governance matters, RBI
protects banking stability and depositors, and NABARD inspects/supervises State Cooperative Banks
and DCCBs under its statutory mandate.
QUALIFICATION -> PACS are principally State-law credit societies and are not automatically RBI-
licensed banks or DICGC-insured deposit institutions.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: A cooperative bank combines cooperative-law governance with banking regulation.

Technical definition: State or Central Registrars govern incorporation and cooperative matters; RBI regulates banking, while NABARD has statutory supervisory and development roles for specified rural cooperative banks.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> A cooperative bank combines cooperative-law governance with banking regulation.

MUST-WRITE KEYWORDS

- **cooperative banks**
- **RBI**
- **NABARD**
- **Registrar**
- **banking regulation**

How to use them: Frame the answer through cooperative banks; define RBI, connect NABARD with Registrar to explain the mechanism, and use banking regulation for the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** Cooperative banks face multiple regulation because cooperative incorporation and banking prudence answer different legal questions.
- **Named evidence:** Union List Entry 45; Banking Regulation Act, 1949 as applicable to cooperative societies; Banking Regulation (Amendment) Act, 2020; RBI and NABARD statutory material.
- **Analysis:** The Registrar addresses cooperative identity and specified governance matters, RBI protects banking stability and depositors, and NABARD inspects/supervises State Cooperative Banks and DCCBs under its statutory mandate.
- **Qualification:** PACS are principally State-law credit societies and are not automatically RBI-licensed banks or DICGC-insured deposit institutions.

Evidence

[FACT] Urban Cooperative Banks, State Cooperative Banks and District Central Cooperative Banks combine cooperative legal identity with regulated banking activity.

[FACT] RBI regulates covered cooperative banks under the Banking Regulation Act as applicable to cooperative societies. NABARD statutorily supervises State Cooperative Banks and District Central Cooperative Banks under section 35(6); PACS do not figure among NABARD's statutorily supervised entities.

[FACT] The Banking Regulation (Amendment) Act, 2020 was applied in stages: RBI material states it was deemed effective from **29 June 2020** for UCBs and came into force from **1 April 2021** for State and District Central Cooperative Banks.

Visual 45 - Rural Short-Term Cooperative Credit Structure

```
STATE COOPERATIVE BANK
          |
DISTRICT CENTRAL COOPERATIVE BANK
          |
PRIMARY AGRICULTURAL CREDIT SOCIETY
          |
FARM / RURAL MEMBER

QUALIFICATION: State structures vary; not every State follows an identical three-tier form.
```

Caption: The tiers connect local membership to district and State-level liquidity and banking structures.

Visual 46 - Regulator Matrix

Institution	Cooperative-law layer	Banking/prudential layer	Supervision
UCB	State law or MSCS Act, as applicable	RBI	RBI
State Cooperative Bank	State cooperative law	RBI regulation	NABARD statutory inspection/supervision
DCCB	State cooperative law	RBI regulation	NABARD statutory inspection/supervision
PACS	State cooperative law	Generally outside the same licensed banking framework	Not a NABARD statutory supervised entity

Caption: "Dual control" differs by institution; do not give one regulator exclusive credit for every function.

Visual 47 - What the 2020 Banking Amendment Changed

```
BEFORE / CONTINUING PROBLEM:
fragmented governance and prudential powers

2020 AMENDMENT EFFECT FOR COVERED COOPERATIVE BANKS:
stronger RBI role in governance, capital, audit,
reconstruction/amalgamation and management-related controls

CONTINUING COOPERATIVE LAYER:
registration, membership and cooperative-law matters
remain under the applicable State/MSCS framework
```

Caption: Stronger prudential control did not turn cooperative banks into ordinary companies.

Visual 48 - PACS Boundary

Statement	Correct control
Every PACS is an RBI-licensed bank	False
PACS are directly statutorily supervised by NABARD like DCCBs	False
PACS may use "bank" freely	False; RBI has warned against unauthorised use and unlicensed public deposit-taking
PACS have no regulatory framework	False; State cooperative law and scheme-specific controls apply

Caption: PACS are cooperative credit institutions, but not automatically banks in the full prudential sense.

Visual 49 - Cooperative-Bank Governance Risk Chain

```
POLITICAL / MEMBER PRESSURE
        ->
CONNECTED LENDING OR WEAK CREDIT DISCIPLINE
        ->
ASSET-QUALITY STRESS
        ->
DEPOSITOR / MEMBER RISK
        ->
RBI + NABARD + REGISTRAR COORDINATION NEED

REFORM: autonomy in business + prudential accountability + professional board
```

Caption: Member ownership cannot replace depositor protection and risk management.

Prelims trap

Do not say either that RBI controls every cooperative-law matter or that the Registrar alone regulates a cooperative bank.

Mains use

Use a function-wise regulator matrix and explain why coordination, rather than regulatory monopoly, is required.

Recap

Claim: Cooperative banks face multiple regulation because cooperative incorporation and banking prudence answer different legal questions. **Evidence:** Union List Entry 45; Banking Regulation Act, 1949 as applicable to cooperative societies; Banking Regulation (Amendment) Act, 2020; RBI and NABARD statutory material. **Qualification:** PACS are principally State-law credit societies and are not automatically RBI-licensed banks or DICGC-insured deposit institutions.

CLOSING RECALL FLOW - COOPERATIVE BANKS: DUAL AND MULTIPLE REGULATION

```
START / CONCEPT: COOPERATIVE BANKS: DUAL AND MULTIPLE REGULATION
        |
        v
EXACT TERMS: cooperative banks · RBI · NABARD · Registrar · banking regulation
        |
        v
MECHANISM / ARGUMENT: State or Central Registrars govern incorporation and cooperative matters; RBI
regulates banking, while NABARD has statutory supervisory and development roles for specified rural
cooperative banks.
        |
        v
CONSEQUENCE / CONTRAST: This division identifies the governing legal layer before drawing an
institutional conclusion.
        |
        v
UPSC TRAP / ANSWER-USE: Do not transfer a rule across State, multi-State, constitutional, banking
or policy layers without checking competence and statutory scope.
        |
        v
ANSWER-GRABBING FORMULATION: A cooperative bank combines cooperative-law governance with banking
regulation.
```

SESSION 13 - ARTICLE 12, ARTICLE 226 AND RTI: THREE DIFFERENT TESTS

VISUAL FIRST

```
ARTICLE 12, ARTICLE 226 AND RTI: THREE DIFFERENT TESTS
CLAIM -> Article 12 status, Article 226 writ amenability and RTI public-authority status are
separate, fact-sensitive inquiries.
EVIDENCE -> Ajay Hasia; Pradeep Kumar Biswas; Andi Mukta; Thalappalam Service Cooperative Bank Ltd.
v. State of Kerala (2013); RTI Act sections 2(h) and 2(f).
ANALYSIS -> The separate tests prevent ordinary statutory regulation from automatically converting
every cooperative into the State while preserving remedies where governmental domination, public
duty or substantial finance exists.
QUALIFICATION -> A negative finding under one test does not automatically decide the other two.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: A cooperative society is not automatically "State" under Article 12 merely because it is registered, regulated or supervised under a cooperative statute.

Technical definition: Claims of a new blanket Article 12 rule have therefore been excluded.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> A cooperative society is not automatically "State" under Article 12 merely because it is registered, regulated or supervised under a cooperative statute.

MUST-WRITE KEYWORDS

- **Article 12**
- **Article 226**
- **Rti**
- **Three Different Tests**
- **Ajay Hasia v. Khalid Mujib**
- **Article 12 instrumentality/agency test**

How to use them: Frame the answer through Article 12; define Article 226, connect Rti with Three Different Tests to explain the mechanism, and use Ajay Hasia v. Khalid Mujib for the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** Article 12 status, Article 226 writ amenability and RTI public-authority status are separate, fact-sensitive inquiries.
- **Named evidence:** Ajay Hasia; Pradeep Kumar Biswas; Andi Mukta; Thalappalam Service Cooperative Bank Ltd. v. State of Kerala (2013); RTI Act sections 2(h) and 2(f).
- **Analysis:** The separate tests prevent ordinary statutory regulation from automatically converting every cooperative into the State while preserving remedies where governmental domination, public duty or substantial finance exists.
- **Qualification:** A negative finding under one test does not automatically decide the other two.

Evidence

[FACT] A cooperative society is not automatically "State" under Article 12 merely because it is registered, regulated or supervised under a cooperative statute.

[FACT] **Ajay Hasia v. Khalid Mujib** *supplied instrumentality indicators;* **Pradeep Kumar Biswas v. Indian Institute of Chemical Biology** refined the inquiry to whether the body is financially, functionally and administratively dominated by or under pervasive government control. Merely regulatory control is insufficient.

[FACT] In **Thalappalam Service Cooperative Bank (2013)*** (2013), the Supreme Court held that the concerned Kerala cooperative societies were not automatically "public authorities" under RTI section 2(h), absent material showing government ownership, control or substantial financing.

Visual 50 - Three Status Tests

Question	Governing test	Result
Is the body "State"?	Article 12 instrumentality/agency test	FR claim directly against body if test met
Can a writ issue?	Article 226 authority/public-duty inquiry	Broader than Article 12, duty-specific
Is it an RTI public authority?	Section 2(h): Constitution/law/notification or government ownership, control, substantial finance	Direct RTI obligations if met

Caption: Article 12 status, writ amenability and RTI status are related but not interchangeable.

Visual 51 - Case-Control Matrix

Case	Proposition	Qualification
Ajay Hasia (1981)	Instrumentality indicators matter	Not a mechanical checklist
Pradeep Kumar Biswas (2002)	Financial, functional and administrative domination; pervasive control	Regulatory control alone is insufficient
Thalappalam Service Cooperative Bank (2013)	Kerala cooperatives not automatically RTI public authorities	Society-specific ownership/control/finance can change result
Andi Mukta (1989)	Article 226 reaches bodies performing public duty	Remedy must relate to that duty

Caption: Always state the legal question before citing the case.

Visual 52 - Writ and RTI Decision Tree

```
COOPERATIVE SOCIETY
        |
Is it Article 12 "State"? -- yes -> Part III remedies available
        |
        no
        |
Does impugned action involve public/statutory duty? -- yes -> Art 226 may lie
        |
        no -> ordinarily private/internal remedy

RTI:
Is society section 2(h) public authority? -- fact-specific
If not, information accessible by a public authority under law
may still be sought from that public authority through section 2(f).
```

Caption: A "no" under Article 12 does not automatically end every public-law inquiry.

[LIMIT] *Thalappalam Service Cooperative Bank (2013)* did not immunise all cooperatives from RTI forever. Ownership, pervasive control or substantial direct/indirect financing can alter the section 2(h) result; section 2(f) also preserves access to information that a public authority can lawfully obtain from a private body.

[CURRENT] No official Supreme Court decision from 2026 was verified as squarely replacing this framework. Claims of a new blanket Article 12 rule have therefore been excluded.

Prelims trap

Registration under a cooperative statute alone does not make every society Article 12 State or an RTI public authority.

Mains use

Use this distinction only when the question asks about public-law status or transparency.

Recap

Claim: Article 12 status, Article 226 writ amenability and RTI public-authority status are separate, fact-sensitive inquiries. **Evidence:** Ajay Hasia; Pradeep Kumar Biswas; Andi Mukta; Thalappalam Service Cooperative Bank Ltd. v. State of Kerala (2013); RTI Act sections 2(h) and 2(f). **Qualification:** A negative finding under one test does not automatically decide the other two.

CLOSING RECALL FLOW - ARTICLE 12, ARTICLE 226 AND RTI: THREE DIFFERENT TESTS

```
START / CONCEPT: ARTICLE 12, ARTICLE 226 AND RTI: THREE DIFFERENT TESTS
        |
        v
EXACT TERMS: Article 12 · Article 226 · Rti · Three Different Tests · Ajay Hasia v. Khalid Mujib ·
Article 12 instrumentality/agency test
        |
        v
MECHANISM / ARGUMENT: Indian Institute of Chemical Biology refined the inquiry to whether the body
is financially, functionally and administratively dominated by or under pervasive government
control.
        |
        v
CONSEQUENCE / CONTRAST: Claims of a new blanket Article 12 rule have therefore been excluded.
        |
        v
UPSC TRAP / ANSWER-USE: State of Kerala (2013), the Supreme Court held that the concerned Kerala
cooperative societies were not automatically "public authorities" under RTI section 2(h), absent
material showing government ownership, control or substantial financing.
        |
        v
ANSWER-GRABBING FORMULATION: A cooperative society is not automatically "State" under Article 12
merely because it is registered, regulated or supervised under a cooperative statute.
```

SESSION 14 - STRENGTHS, FAILURES AND INSTITUTIONAL INCENTIVES

VISUAL FIRST

```
STRENGTHS, FAILURES AND INSTITUTIONAL INCENTIVES
CLAIM -> Cooperatives can aggregate weak market actors, but democratic form can coexist with elite
capture, political interference and managerial failure.
EVIDENCE -> Article 43B values; Rajendra N. Shah federal setting; cooperative banking prudential
experience; member-governance mechanisms in Part IXB and the MSCS Act.
ANALYSIS -> Passive membership and delayed elections allow entrenched boards; weak audit and
connected decisions then translate a political problem into capital, service and depositor risk.
QUALIFICATION -> Failure is not inherent in the cooperative form, and a successful dairy or credit
example cannot be universalised.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Cooperatives can aggregate small producers and democratise enterprise, but weak member control can enable capture.

Technical definition: Member ownership can improve bargaining, scale, credit and value addition; politicised boards, delayed elections, weak audit, connected lending, professional deficits and member apathy can reverse those gains.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Democratic ownership produces benefits only when members can exercise informed control.

MUST-WRITE KEYWORDS

- **strengths**
- **failures**
- **institutional incentives**
- **member control**
- **audit**
- **capture**

How to use them: Frame the answer through strengths; define failures, connect institutional incentives with member control to explain the mechanism, and use audit for the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** Cooperatives can aggregate weak market actors, but democratic form can coexist with elite capture, political interference and managerial failure.
- **Named evidence:** Article 43B values; Rajendra N. Shah federal setting; cooperative banking prudential experience; member-governance mechanisms in Part IXB and the MSCS Act.
- **Analysis:** Passive membership and delayed elections allow entrenched boards; weak audit and connected decisions then translate a political problem into capital, service and depositor risk.
- **Qualification:** Failure is not inherent in the cooperative form, and a successful dairy or credit example cannot be universalised.

Evidence

Visual 53 - Cooperative Theory of Change

```
SMALL MEMBERS
   -> pool demand/output/capital
   -> lower transaction cost + stronger bargaining
   -> shared services and value addition
   -> member income / access / resilience

CONDITIONS:
real participation + competent management + transparent accounts + market viability
```

Caption: Collective form produces benefit only through a functioning governance and business chain.

Visual 54 - Failure Chain

```
PASSIVE MEMBERSHIP
      ->
ENTRENCHED BOARD / POLITICAL CAPTURE
      ->
DELAYED ELECTIONS + WEAK AUDIT
      ->
RELATED-PARTY DECISIONS / POOR BUSINESS CHOICES
      ->
LOSS OF TRUST, CAPITAL AND MEMBER USE
```

Caption: Governance failure becomes economic failure through predictable institutional links.

Visual 55 - Strength-Failure Matrix

Dimension	Strength	Failure mode	Corrective lever
Ownership	Local commitment	Factional capture	Active membership and disclosure
Scale	Aggregation	Bureaucratic expansion	Subsidiarity and performance review
Democracy	Member voice	Election manipulation	Independent timely elections
Finance	Member capital	Thin capital base	Retained reserves and prudent instruments
Management	Local knowledge	Skill deficit	Professional board/CEO capacity
Regulation	Member protection	Overlap/conflict	Clear regulator coordination

Caption: Reform should repair the broken mechanism rather than merely add another institution.

Visual 56 - Example Discipline

```
GOOD USE:
"The dairy cooperative model shows how aggregation and processing
can improve small-producer bargaining when procurement and governance work."

BAD USE:
"Amul proves all cooperatives are successful and should replace private firms."
```

Caption: An example proves a mechanism under conditions, not a universal law.

Prelims trap

Do not treat government support as proof of democratic control or member benefit.

Mains use

Use a causal failure chain and attach each reform to the mechanism it repairs.

Recap

Claim: Cooperatives can aggregate weak market actors, but democratic form can coexist with elite capture, political interference and managerial failure. **Evidence:** Article 43B values; Rajendra N. Shah federal setting; cooperative banking prudential experience; member-governance mechanisms in Part IXB and the MSCS Act. **Qualification:** Failure is not inherent in the cooperative form, and a successful dairy or credit example cannot be universalised.

CLOSING RECALL FLOW - STRENGTHS, FAILURES AND INSTITUTIONAL INCENTIVES

```
START / CONCEPT: STRENGTHS, FAILURES AND INSTITUTIONAL INCENTIVES
        |
        v
EXACT TERMS: strengths · failures · institutional incentives · member control · audit · capture
        |
        v
MECHANISM / ARGUMENT: Voice, pooled capital and professional management generate value when
elections, disclosure, audit and grievance systems discipline agents.
        |
        v
CONSEQUENCE / CONTRAST: Autonomy and accountability must reinforce each other; either unchecked
control or unchecked management can destroy cooperative purpose.
        |
        v
UPSC TRAP / ANSWER-USE: Do not infer democratic outcomes merely from cooperative registration or
use one successful sector example as universal proof.
        |
        v
ANSWER-GRABBING FORMULATION: Democratic ownership produces benefits only when members can exercise
informed control.
```

SESSION 15 - REFORM AGENDA: AUTONOMY WITH ACCOUNTABILITY

VISUAL FIRST

```
REFORM AGENDA: AUTONOMY WITH ACCOUNTABILITY
CLAIM -> The durable reform formula is autonomy with democratic, professional and prudential
accountability.
EVIDENCE -> Article 43B; Part IXB governance principles in the surviving field; MSCS Act 2002 as
amended in 2023; RBI/NABARD/Registrar functional boundaries.
ANALYSIS -> Clean membership rolls, timely elections, professional management, conflict disclosure,
risk-based audit and member information reinforce rather than negate cooperative autonomy.
QUALIFICATION -> Centralisation can hollow member control, while deregulation can expose members
and depositors; reform must be proportionate and field-specific.
```

Caption: The session begins with its controlling claim, named authority, institutional meaning and limiting condition.

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Reform should protect voluntary member control while imposing transparent, proportionate and function-specific accountability.

Technical definition: Excessive governmental nomination can hollow autonomy; absence of prudential or fiduciary controls can harm members and depositors.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Reform should protect voluntary member control while imposing transparent, proportionate and function-specific accountability.

MUST-WRITE KEYWORDS

- **Reform Agenda**
- **Autonomy With Accountability**
- **Desired: member-led, transparent and viable**
- **Independent timely elections**
- **Entrenched boards**
- **Professional boards and CEOs**

How to use them: Frame the answer through Reform Agenda; define Autonomy With Accountability, connect Desired: member-led, transparent and viable with Independent timely elections to explain the mechanism, and use Entrenched boards for the decisive comparison or qualification.

Claim -> named evidence -> analysis -> qualification

- **Claim:** The durable reform formula is autonomy with democratic, professional and prudential accountability.
- **Named evidence:** Article 43B; Part IXB governance principles in the surviving field; MSCS Act 2002 as amended in 2023; RBI/NABARD/Registrar functional boundaries.
- **Analysis:** Clean membership rolls, timely elections, professional management, conflict disclosure, risk-based audit and member information reinforce rather than negate cooperative autonomy.
- **Qualification:** Centralisation can hollow member control, while deregulation can expose members and depositors; reform must be proportionate and field-specific.

Evidence

[ANALYSIS] Reform should protect voluntary member control while imposing transparent, proportionate and function-specific accountability. Excessive governmental nomination can hollow autonomy; absence of prudential or fiduciary controls can harm members and depositors.

Visual 57 - Member-Centric Reform Package

Reform	Named problem addressed	Qualification
Independent timely elections	Entrenched boards	Election body must itself be accountable
Professional boards and CEOs	Capacity deficit	Expertise must not displace member control
Transparent audit and data	Delayed detection	Disclosure must be usable, not only filed
Member grievance redress	Internal power imbalance	Avoid duplicative forums and delay
Regulatory coordination	RBI/NABARD/Registrar overlap	Clarify lead role by function
Technology	Cost and traceability	Cybersecurity and inclusion safeguards

Caption: Each reform must be linked to a diagnosed failure and a safeguard.

Visual 58 - Autonomy-Accountability Matrix

	Low accountability	High accountability
Low autonomy	State-dependent and inefficient	Compliant but bureaucratised
High autonomy	Capture and prudential risk	**Desired: member-led, transparent and viable**

Caption: The constitutional aim is not maximum autonomy or maximum control in isolation.

Visual 59 - Reform Sequence

```
1. CLEAN MEMBERSHIP AND VOTER ROLLS
2. TIMELY INDEPENDENT ELECTION
3. CONFLICT DISCLOSURE + PROFESSIONAL CAPACITY
4. RISK-BASED AUDIT AND DIGITAL RECORDS
5. MEMBER INFORMATION + OMBUDSMAN
6. REGULATOR COORDINATION
7. PERIODIC OUTCOME REVIEW
```

Caption: Sequencing matters because audit cannot repair a board chosen through a compromised membership roll.

Prelims trap

Neither permanent government supersession nor complete deregulation satisfies cooperative constitutional values.

Mains use

Conclude with cooperative federalism: common standards through valid law, consent and coordination, not competence substitution.

Recap

Claim: The durable reform formula is autonomy with democratic, professional and prudential accountability. **Evidence:** Article 43B; Part IXB governance principles in the surviving field; MSCS Act 2002 as amended in 2023; RBI/NABARD/Registrar functional boundaries. **Qualification:** Centralisation can hollow member control, while deregulation can expose members and depositors; reform must be proportionate and field-specific.

CLOSING RECALL FLOW - REFORM AGENDA: AUTONOMY WITH ACCOUNTABILITY

```
START / CONCEPT: REFORM AGENDA: AUTONOMY WITH ACCOUNTABILITY
        |
        v
EXACT TERMS: Reform Agenda · Autonomy With Accountability · Desired: member-led, transparent and
viable · Independent timely elections · Entrenched boards · Professional boards and CEOs
        |
        v
MECHANISM / ARGUMENT: Excessive governmental nomination can hollow autonomy; absence of prudential
or fiduciary controls can harm members and depositors.
        |
        v
CONSEQUENCE / CONTRAST: The resulting consequence is that reform should protect voluntary member
control while imposing transparent, proportionate and function-specific accountability.
        |
        v
UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: reform should protect voluntary
member control while imposing transparent, proportionate and function-specific accountability.
        |
        v
ANSWER-GRABBING FORMULATION: Reform should protect voluntary member control while imposing
transparent, proportionate and function-specific accountability.
```

UPSC ANSWER ARCHITECTURE

Visual 60 - 10/15/20-Mark Spine

Marks	Architecture	Evidence load
10	Define/status -> 3 provisions -> one case limit -> verdict	2-3 named Articles/entries/case
15	Thesis -> federal base -> amendment -> judgment -> statute/current layer -> balanced reform	4-6 legal anchors
20	Concept -> constitutional design -> federal litigation -> State/MSCS split -> banking/status issues -> reform	6-8 named anchors + compact visual

Caption: Marks scale dimensions and evidence, not merely word count.

Visual 61 - Prelims Close-Option Traps

Trap	Correct control
Article 43B is a Fundamental Right	DPSP
Article 19 gives unconditional recognition/aid	Formation right, subject to Article 19(4)
All cooperatives are Entry 32 only	MSCS use Entry 44; banking uses Entry 45
Whole 97th Amendment invalid	State-field Part IXB application invalid
Part IXB survives for every UT cooperative	Official judgment is narrower
Ministry replaces State Registrar	False
Every PACS is a bank	False
RTI public authority equals Article 12 State	False

Caption: Most objective errors replace a qualified rule with an absolute one.

Visual 62 - Claim-to-Evidence Unit

```
CLAIM:
The 2021 ruling is a federalism judgment.

NAMED EVIDENCE:
Entry 32 + proviso to Article 368(2) + Union of India v. Rajendra N. Shah (2021).

ANALYSIS:
Part IXB conditioned State legislative power without ratification.

QUALIFICATION:
Article 19(1)(c), Article 43B and the MSCS field survived.
```

Caption: One complete unit is more valuable than four unconnected facts.

CURRENT-CONTROL AND SOURCE LEDGER

Visual 63 - Claim-Risk Ledger

Claim family	Primary control	Deliberate limit
Articles and Seventh Schedule	Official Constitution PDF	Part IXB text qualified by 2021 judgment
97th Amendment dates/result	Official Amendment Act + official SC judgment	Act year not confused with assent year
Severability and UT reach	Official *Union of India v. Rajendra N. Shah (2021)* judgment, paras 77-80	No blanket "all UT cooperatives" claim
MSCS law	India Code consolidation as on 27 Jun 2025 + 2023 Gazette	No proposal described as enacted
Current compliance	Ministry official material through control date	No frozen disposal/society totals
Ministry/CRCS	Official Ministry pages	No current officeholder names
Banking	RBI notifications/press release + NABARD official supervision material	No claim that one regulator controls every function
Article 12/RTI	Official *Thalappalam Service Cooperative Bank (2013)* + settled cases	Unverified 2026 claim omitted

Caption: Current reliability comes from named first-party instruments and explicit limits.

Official and Local Sources Consulted

- [FACT] Legislative Department, **Constitution of India**, official English consolidation: Articles 19, 43B, 243ZH-243ZT and Seventh Schedule Entries 32, 44 and 45.
- [FACT] Legislative Department, **Constitution (Ninety-seventh Amendment) Act, 2011**.
- [FACT] Supreme Court of India, **Union of India v. Rajendra N. Shah (2021)***, Civil Appeal Nos. 9108-9109 of 2014, judgment dated 20 July 2021.
- [FACT] India Code, **Multi-State Co-operative Societies Act, 2002**, official consolidation marked as on 27 June 2025.
- [FACT] Gazette/Ministry of Cooperation, **Multi-State Co-operative Societies (Amendment) Act, 2023** and commencement notification; Amendment Rules, 2023.
- [CURRENT] Ministry of Cooperation, official pages on creation of the Ministry, Central Registrar, MSCS framework and National Cooperation Policy 2025; official compliance material checked to the control date.
- [FACT] RBI official material on the Banking Regulation (Amendment) Act, 2020, cooperative-bank capital, director-related lending and unauthorised use of "bank".
- [FACT] NABARD official supervisory material on State Cooperative Banks, District Central Cooperative Banks and the exclusion of PACS from statutorily supervised entities.
- [FACT] Supreme Court of India, **Thalappalam Service Cooperative Bank (2013)*** (2013).
- [FACT] ICA official Statement on Cooperative Identity; used as normative background, not as Indian statutory text.

- `[FACT]` Local owners: `Polity/basic/Cooperative-Societies.md`, `Polity/advanced/39_Cooperative-Societies.md`, Fundamental Rights, DPSP, amendment, federalism, Centre-State relations, Panchayati Raj, rural-credit and banking owners.
- `[FACT]` All relevant local PYQ routing and integration-audit ledgers, plus OCR-searchable official/local 2020, 2021 and 2023 Prelims papers.

Current-Law Limits

- `[LIMIT]` No current minister, officeholder or authority-member name is frozen.
- `[LIMIT]` No society count, PACS-computerisation total, portal usage, election/complaint total or financial aggregate is frozen.
- `[LIMIT]` Any live concurrent-audit threshold must be stated only from a dated official notification; it is not permanently hard-coded in section 70A.
- `[LIMIT]` National Cooperation Policy 2025, model bye-laws, portals and schemes do not amend legislative competence.
- `[LIMIT]` Part IXB specifics are not generalised to State-field societies as binding constitutional commands.
- `[LIMIT]` No unverified 2026 Article 12 judgment is included.

POLITY HOSTILE SEMANTIC-REVIEW CORE CONTROL

- **Must remember:** Preserve the post-Union of India v. Rajendra N. Shah (2021) split: State-field cooperatives remain under Entry 32 and State law; Part IXB survives for the multi-State field.
- **Close distinction:** Do not merge the Ministry, CRCS, Election Authority, Ombudsman, RBI, NABARD, representative federations or operating cooperative societies.
- **Legal/source limit:** The MSCS Amendment Act and Rules, 2023 remain operative; National Cooperation Policy 2025 is policy, not a transfer of legislative competence.

Semantic-completeness ownership and PYQ control

- **Federal map:** State-field cooperative societies belong principally to

Entry 32, State List and the respective State cooperative law. Corporations whose objects are not confined to one State fall under Entry 44, Union List and the Multi-State Co-operative Societies Act, 2002.

- **97th Amendment:** the Constitution (Ninety-seventh Amendment) Act, 2011

inserted cooperative societies into Article 19(1)(c), inserted Article 43B, and added Part IXB, Articles 243ZH-243ZT. It came into force on 15 February 2012.

- **Union of India v. Rajendra N. Shah (2021) control:** the Supreme Court's 2021 majority invalidated

Part IXB insofar as it governed ordinary State-field cooperatives because the amendment lacked State ratification under Article 368(2). Article 19(1)(c), Article 43B and Part IXB's multi-State operation survive; the whole 97th Amendment was not struck down.

- **Part IXB content:** within its surviving field it regulates incorporation,

board composition and five-year tenure, elections before expiry, supersession limits, audit, returns, offences and member information, subject to the Constitution's own banking and no-government-finance qualifications.

- **Current central statute:** the MSCS Act, 2002 as amended in 2023 and the

amended rules govern multi-State societies. The 2023 architecture includes a Co-operative Election Authority, Co-operative Ombudsman, Co-operative Information Officer, concurrent-audit controls and the Cooperative Rehabilitation, Reconstruction and Development Fund.

- **Appointments and institutions:** the Central Government appoints the

Central Registrar under section 4 and constitutes/appoints the statutory central election, ombudsman and other mechanisms under the amended Act. State Registrars derive authority from State Acts. These offices are not the Election Commission of India, RBI or an operating cooperative.

- **Banking overlay:** registration under cooperative law and banking regulation are separate. RBI/Banking Regulation Act supervision applies to banking functions; NABARD and financing institutions have distinct roles. A PACS is not automatically a banking company for every legal purpose.

- **Status tests:** Daman Singh addresses the statutory character of cooperative

membership; Thalappalam Service Cooperative Bank (2013) holds that registration and ordinary regulatory control alone do not automatically make a society an RTI public authority. Article 12 and Article 226 tests remain fact-sensitive.

- **Current policy control:** National Cooperation Policy 2025, launched

24 July 2025, is a policy framework for governance, professionalisation, digitalisation, market linkages, finance, inclusion and sustainability. It does not transfer Entry 32 competence or erase State-law variation.

- **PYQ firewall:** adjacent 2020 DCCB, 2021 UCB and 2023 cooperative-production

objective demands are retained as cross-owned banking/agriculture routes. No direct Polity Mains PYQ is fabricated.

Exactly **32 original MCQs** appear before the PYQ section. Correct-option sequence: `ABCDABCDABCDABCDABCDABCDABCDABCD`. Questions 25-32 are targeted remediation within the same original set.

BASIC MCQS / REMEDIATION

MCQ 1. Cooperative identity

Which description best captures a cooperative?

A. A jointly owned, democratically controlled enterprise voluntarily formed to meet common member needs B. A charitable trust that is legally barred from economic activity C. A company in which voting power must always equal capital contribution D. A government department that distributes benefits to registered persons

Answer: A.

Option-specific explanations:

- **A:** Correct. The cooperative form combines voluntary association, joint ownership, democratic control and a common member need; it may conduct substantial economic activity.
- **B:** Incorrect. The proposition 'A charitable trust that is legally barred from economic activity' changes the controlling category, condition or legal source. The cooperative form combines voluntary association, joint ownership, democratic control and a common member need; it may conduct substantial economic activity.
- **C:** Incorrect. The proposition 'A company in which voting power must always equal capital contribution' changes the controlling category, condition or legal source. The cooperative form combines voluntary association, joint ownership, democratic control and a common member need; it may conduct substantial economic activity.
- **D:** Incorrect. The proposition 'A government department that distributes benefits to registered persons' changes the controlling category, condition or legal source. The cooperative form combines voluntary association, joint ownership, democratic control and a common member need; it may conduct substantial economic activity.

Examiner trap 1: Do not confuse member ownership with either State ownership or investor-capital dominance.

MCQ 2. Legal force of principles

The seven ICA cooperative principles are best understood in Indian law as:

A. RBI directions binding on every cooperative society B. Normative principles whose enforceability depends on incorporation in the applicable law or bye-laws C. Rules confined to dairy cooperatives D. Directly enforceable constitutional commands against every cooperative

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'RBI directions binding on every cooperative society' changes the controlling category, condition or legal source. ICA principles are normative; the MSCS Act First Schedule gives them statutory relevance in its field, while State-law force depends on the governing enactment and bye-laws.

- **B:** Correct. ICA principles are normative; the MSCS Act First Schedule gives them statutory relevance in its field, while State-law force depends on the governing enactment and bye-laws.
- **C:** Incorrect. The proposition 'Rules confined to dairy cooperatives' changes the controlling category, condition or legal source. ICA principles are normative; the MSCS Act First Schedule gives them statutory relevance in its field, while State-law force depends on the governing enactment and bye-laws.
- **D:** Incorrect. The proposition 'Directly enforceable constitutional commands against every cooperative' changes the controlling category, condition or legal source. ICA principles are normative; the MSCS Act First Schedule gives them statutory relevance in its field, while State-law force depends on the governing enactment and bye-laws.

Examiner trap 2: Always identify whether a principle is normative, constitutional-policy or statutory.

MCQ 3. State legislative field

Incorporation, regulation and winding up of a cooperative whose objects are confined to one State ordinarily fall under:

A. Union List Entry 45 B. Union List Entry 44 C. State List Entry 32 D. Concurrent List Entry 20

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Union List Entry 45' changes the controlling category, condition or legal source. State List Entry 32 expressly includes cooperative societies within the State field, subject to corporations assigned to List I.
- **B:** Incorrect. The proposition 'Union List Entry 44' changes the controlling category, condition or legal source. State List Entry 32 expressly includes cooperative societies within the State field, subject to corporations assigned to List I.
- **C:** Correct. State List Entry 32 expressly includes cooperative societies within the State field, subject to corporations assigned to List I.
- **D:** Incorrect. The proposition 'Concurrent List Entry 20' changes the controlling category, condition or legal source. State List Entry 32 expressly includes cooperative societies within the State field, subject to corporations assigned to List I.

Examiner trap 3: Entry 32 is the starting point for an intra-State society, not a residual entry.

MCQ 4. Multi-State field

The legislative basis for a cooperative corporation whose objects are not confined to one State is:

A. State List Entry 32 B. Union List Entry 43 C. Concurrent List Entry 20 D. Union List Entry 44

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'State List Entry 32' changes the controlling category, condition or legal source. Union List Entry 44 covers incorporation, regulation and winding up of corporations, trading or not, whose objects are not confined to one State.
- **B:** Incorrect. The proposition 'Union List Entry 43' changes the controlling category, condition or legal source. Union List Entry 44 covers incorporation, regulation and winding up of corporations, trading or not, whose objects are not confined to one State.
- **C:** Incorrect. The proposition 'Concurrent List Entry 20' changes the controlling category, condition or legal source. Union List Entry 44 covers incorporation, regulation and winding up of corporations, trading or not, whose objects are not confined to one State.
- **D:** Correct. Union List Entry 44 covers incorporation, regulation and winding up of corporations, trading or not, whose objects are not confined to one State.

Examiner trap 4: Do not use Entry 43: it expressly excludes cooperative societies.

MCQ 5. Pre-2011 position

Which statement correctly describes the position before the 97th Amendment?

A. Cooperatives already existed as statutory bodies under Union or State legislation within the federal competence split B. No cooperative could be incorporated before Article 43B C. Part IXB was the sole source of all cooperative legal personality D. Only Parliament could legislate for every cooperative

Answer: A.

Option-specific explanations:

- **A:** Correct. The 1904 and 1912 laws and later State/MSCS statutes pre-dated constitutionalisation; the 97th Amendment added constitutional rights, policy and governance provisions rather than creating the form.
- **B:** Incorrect. The proposition 'No cooperative could be incorporated before Article 43B' changes the controlling category, condition or legal source. The 1904 and 1912 laws and later State/MSCS statutes pre-dated constitutionalisation; the 97th Amendment added constitutional rights, policy and governance provisions rather than creating the form.
- **C:** Incorrect. The proposition 'Part IXB was the sole source of all cooperative legal personality' changes the controlling category, condition or legal source. The 1904 and 1912 laws and later State/MSCS statutes pre-dated constitutionalisation; the 97th Amendment added constitutional rights, policy and governance provisions rather than creating the form.
- **D:** Incorrect. The proposition 'Only Parliament could legislate for every cooperative' changes the controlling category, condition or legal source. The 1904 and 1912 laws and later State/MSCS statutes pre-dated constitutionalisation; the 97th Amendment added constitutional rights, policy and governance provisions rather than creating the form.

Examiner trap 5: Constitutional recognition in 2012 did not erase the older statutory foundation.

MCQ 6. Article 43B

Article 43B directs the State to promote:

A. Compulsory State ownership of cooperative assets B. Voluntary formation, autonomous functioning, democratic control and professional management C. Uniform central registration of all cooperatives D. RBI licensing of every PACS

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Compulsory State ownership of cooperative assets' changes the controlling category, condition or legal source. Article 43B is a Directive Principle containing four express goals: voluntary formation, autonomous functioning, democratic control and professional management.
- **B:** Correct. Article 43B is a Directive Principle containing four express goals: voluntary formation, autonomous functioning, democratic control and professional management.
- **C:** Incorrect. The proposition 'Uniform central registration of all cooperatives' changes the controlling category, condition or legal source. Article 43B is a Directive Principle containing four express goals: voluntary formation, autonomous functioning, democratic control and professional management.
- **D:** Incorrect. The proposition 'RBI licensing of every PACS' changes the controlling category, condition or legal source. Article 43B is a Directive Principle containing four express goals: voluntary formation, autonomous functioning, democratic control and professional management.

Examiner trap 6: Article 43B is a DPSP, not a licensing clause or Fundamental Right.

MCQ 7. Three amendment changes

Which set accurately states the 97th Amendment's three constitutional changes?

A. Article 19(1)(g), Article 43A and Part IX B. Article 14, Article 39A and Part IXA C. Article 19(1)(c), Article 43B and Part IXB D. Article 21, Article 48A and Part X

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Article 19(1)(g), Article 43A and Part IX' changes the controlling category, condition or legal source. The Amendment added cooperative societies to Article 19(1)(c), inserted Article 43B and inserted Part IXB containing Articles 243ZH-243ZT.
- **B:** Incorrect. The proposition 'Article 14, Article 39A and Part IXA' changes the controlling category, condition or legal source. The Amendment added cooperative societies to Article 19(1)(c), inserted Article 43B and inserted Part IXB containing Articles 243ZH-243ZT.
- **C:** Correct. The Amendment added cooperative societies to Article 19(1)(c), inserted Article 43B and inserted Part IXB containing Articles 243ZH-243ZT.
- **D:** Incorrect. The proposition 'Article 21, Article 48A and Part X' changes the controlling category, condition or legal source. The Amendment added cooperative societies to Article 19(1)(c), inserted Article 43B and inserted Part IXB containing Articles 243ZH-243ZT.

Examiner trap 7: Part IXA concerns municipalities; Part IXB concerns cooperative societies.

MCQ 8. Commencement

The Constitution (Ninety-seventh Amendment) Act, 2011 came into force on:

A. 27 December 2011 B. 12 January 2012 C. 13 January 2012 D. 15 February 2012

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition '27 December 2011' changes the controlling category, condition or legal source. The Act received assent and publication in January 2012 but its notified commencement date was 15 February 2012.
- **B:** Incorrect. The proposition '12 January 2012' changes the controlling category, condition or legal source. The Act received assent and publication in January 2012 but its notified commencement date was 15 February 2012.
- **C:** Incorrect. The proposition '13 January 2012' changes the controlling category, condition or legal source. The Act received assent and publication in January 2012 but its notified commencement date was 15 February 2012.
- **D:** Correct. The Act received assent and publication in January 2012 but its notified commencement date was 15 February 2012.

Examiner trap 8: Do not use the Act's title-year as its commencement date.

MCQ 9. Ratification defect

Why did Part IXB fail in its application to State cooperative societies?

A. It substantially affected the State legislative field without ratification by at least half the States under Article 368(2) B. The President withheld assent C. Parliament used only a simple majority D. Article 43B violated the basic structure

Answer: A.

Option-specific explanations:

- **A:** Correct. Rajendra N. Shah held that Part IXB constrained Entry 32 and therefore required the State ratification prescribed by the proviso to Article 368(2), which had not been obtained.
- **B:** Incorrect. The proposition 'The President withheld assent' changes the controlling category, condition or legal source. Rajendra N. Shah held that Part IXB constrained Entry 32 and therefore required the State ratification prescribed by the proviso to Article 368(2), which had not been obtained.
- **C:** Incorrect. The proposition 'Parliament used only a simple majority' changes the controlling category, condition or legal source. Rajendra N. Shah held that Part IXB constrained Entry 32 and therefore required the State

ratification prescribed by the proviso to Article 368(2), which had not been obtained.

- **D:** Incorrect. The proposition 'Article 43B violated the basic structure' changes the controlling category, condition or legal source. Rajendra N. Shah held that Part IXB constrained Entry 32 and therefore required the State ratification prescribed by the proviso to Article 368(2), which had not been obtained.

Examiner trap 9: The defect was federal ratification, not presidential assent or the validity of Article 43B.

MCQ 10. Surviving changes

After Union of India v. Rajendra N. Shah (2021), which pair clearly survived?

A. Articles 243ZI and 243ZK as direct commands for all State societies B. Article 19(1)(c) and Article 43B C. Article 243ZT as permanent validation of every old State law D. A uniform Central Registrar system for all cooperatives

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Articles 243ZI and 243ZK as direct commands for all State societies' changes the controlling category, condition or legal source. The Supreme Court did not invalidate the Article 19(1)(c) addition or Article 43B; it dealt with Part IXB's unratified reach into the State field.
- **B:** Correct. The Supreme Court did not invalidate the Article 19(1)(c) addition or Article 43B; it dealt with Part IXB's unratified reach into the State field.
- **C:** Incorrect. The proposition 'Article 243ZT as permanent validation of every old State law' changes the controlling category, condition or legal source. The Supreme Court did not invalidate the Article 19(1)(c) addition or Article 43B; it dealt with Part IXB's unratified reach into the State field.
- **D:** Incorrect. The proposition 'A uniform Central Registrar system for all cooperatives' changes the controlling category, condition or legal source. The Supreme Court did not invalidate the Article 19(1)(c) addition or Article 43B; it dealt with Part IXB's unratified reach into the State field.

Examiner trap 10: Never state that the whole 97th Amendment was struck down.

MCQ 11. Severability

What is the correct majority position on Part IXB after Rajendra N. Shah?

A. It was deleted from the Constitution in full B. It binds every cooperative confined to a Union Territory C. It survives for multi-State cooperative societies through severability, while its State-field application is invalid D. It survives only as a non-justiciable Directive Principle

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'It was deleted from the Constitution in full' changes the controlling category, condition or legal source. The majority used Article 243ZR to sever and preserve the multi-State scheme; the State-field application failed for want of ratification.
- **B:** Incorrect. The proposition 'It binds every cooperative confined to a Union Territory' changes the controlling category, condition or legal source. The majority used Article 243ZR to sever and preserve the multi-State scheme; the State-field application failed for want of ratification.
- **C:** Correct. The majority used Article 243ZR to sever and preserve the multi-State scheme; the State-field application failed for want of ratification.
- **D:** Incorrect. The proposition 'It survives only as a non-justiciable Directive Principle' changes the controlling category, condition or legal source. The majority used Article 243ZR to sever and preserve the multi-State scheme; the State-field application failed for want of ratification.

Examiner trap 11: Use 'multi-State field survives' rather than 'the entire Part remains universally applicable'.

MCQ 12. Formation freedom

The right added to Article 19(1)(c) is best described as:

A. An unconditional right to subsidy and State purchase B. A guarantee that every application must be registered C. Immunity from audit and solvency law D. A citizens' freedom to form cooperative societies, subject to Article 19(4) and valid regulation

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'An unconditional right to subsidy and State purchase' changes the controlling category, condition or legal source. Article 19(1)(c) protects formation, while Article 19(4) supplies restriction grounds; recognition, aid and regulatory immunity require separate legal authority.
- **B:** Incorrect. The proposition 'A guarantee that every application must be registered' changes the controlling category, condition or legal source. Article 19(1)(c) protects formation, while Article 19(4) supplies restriction grounds; recognition, aid and regulatory immunity require separate legal authority.
- **C:** Incorrect. The proposition 'Immunity from audit and solvency law' changes the controlling category, condition or legal source. Article 19(1)(c) protects formation, while Article 19(4) supplies restriction grounds; recognition, aid and regulatory immunity require separate legal authority.
- **D:** Correct. Article 19(1)(c) protects formation, while Article 19(4) supplies restriction grounds; recognition, aid and regulatory immunity require separate legal authority.

Examiner trap 12: Right to form is not a right to State patronage or a chosen governance regime.

MCQ 13. Article 243ZH

Which item is expressly defined in Article 243ZH?

A. Board, cooperative society, multi-State cooperative society, office bearer, Registrar, State Act and State-level cooperative society B. Only the expression cooperative bank C. Election Commission of India as cooperative election authority D. National Cooperative Policy

Answer: A.

Option-specific explanations:

- **A:** Correct. Article 243ZH contains the Part's institutional definitions, including board, society, multi-State society, office bearer, Registrar, State Act and State-level society.
- **B:** Incorrect. The proposition 'Only the expression cooperative bank' changes the controlling category, condition or legal source. Article 243ZH contains the Part's institutional definitions, including board, society, multi-State society, office bearer, Registrar, State Act and State-level society.
- **C:** Incorrect. The proposition 'Election Commission of India as cooperative election authority' changes the controlling category, condition or legal source. Article 243ZH contains the Part's institutional definitions, including board, society, multi-State society, office bearer, Registrar, State Act and State-level society.
- **D:** Incorrect. The proposition 'National Cooperative Policy' changes the controlling category, condition or legal source. Article 243ZH contains the Part's institutional definitions, including board, society, multi-State society, office bearer, Registrar, State Act and State-level society.

Examiner trap 13: Do not import later statutory institutions into Article 243ZH.

MCQ 14. Article 243ZI

Article 243ZI authorises law on incorporation, regulation and winding up based on:

A. Compulsory government financing B. Voluntary formation, democratic member control, member economic participation and autonomous functioning C. Shareholder voting proportional only to capital D. Exclusive RBI administration

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Compulsory government financing' changes the controlling category, condition or legal source. Article 243ZI states four design principles for incorporation, regulation and winding up within Part IXB's valid field.
- **B:** Correct. Article 243ZI states four design principles for incorporation, regulation and winding up within Part IXB's valid field.
- **C:** Incorrect. The proposition 'Shareholder voting proportional only to capital' changes the controlling category, condition or legal source. Article 243ZI states four design principles for incorporation, regulation and winding up within Part IXB's valid field.
- **D:** Incorrect. The proposition 'Exclusive RBI administration' changes the controlling category, condition or legal source. Article 243ZI states four design principles for incorporation, regulation and winding up within Part IXB's valid field.

Examiner trap 14: Article 243ZI is not a self-executing registration form and does not name professional management.

MCQ 15. Article 243ZJ board

Which statement correctly describes Article 243ZJ?

A. It requires exactly twenty-one elected directors in every society B. It gives every co-opted expert a right to become an office bearer C. It sets a ceiling of twenty-one directors, a five-year term and qualified reservation/co-option rules D. It fixes a three-year term and bars functional directors

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'It requires exactly twenty-one elected directors in every society' changes the controlling category, condition or legal source. Article 243ZJ uses a maximum of twenty-one, a five-year elected term, qualified SC/ST and women reservation, up to two expert co-options and separate treatment of functional directors.
- **B:** Incorrect. The proposition 'It gives every co-opted expert a right to become an office bearer' changes the controlling category, condition or legal source. Article 243ZJ uses a maximum of twenty-one, a five-year elected term, qualified SC/ST and women reservation, up to two expert co-options and separate treatment of functional directors.
- **C:** Correct. Article 243ZJ uses a maximum of twenty-one, a five-year elected term, qualified SC/ST and women reservation, up to two expert co-options and separate treatment of functional directors.
- **D:** Incorrect. The proposition 'It fixes a three-year term and bars functional directors' changes the controlling category, condition or legal source. Article 243ZJ uses a maximum of twenty-one, a five-year elected term, qualified SC/ST and women reservation, up to two expert co-options and separate treatment of functional directors.

Examiner trap 15: Ceiling, qualification and exclusion rules matter more than the shorthand '21 members'.

MCQ 16. Casual vacancy

Under Article 243ZJ(2), the board may fill a casual vacancy by nomination from the same class when:

A. The board has completed more than half its original term B. The Registrar prefers nomination to election C. The vacancy concerns only a government nominee D. The remaining board term is less than half of its original term

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'The board has completed more than half its original term' changes the controlling category, condition or legal source. The proviso permits nomination from the same class only where the remaining term of the board is less than half of its original term.
- **B:** Incorrect. The proposition 'The Registrar prefers nomination to election' changes the controlling category, condition or legal source. The proviso permits nomination from the same class only where the remaining term of the board is less than half of its original term.
- **C:** Incorrect. The proposition 'The vacancy concerns only a government nominee' changes the controlling category, condition or legal source. The proviso permits nomination from the same class only where the remaining term of the board is less than half of its original term.
- **D:** Correct. The proviso permits nomination from the same class only where the remaining term of the board is less than half of its original term.

Examiner trap 16: Do not turn a limited casual-vacancy proviso into a general nomination power.

MCQ 17. Election continuity

Article 243ZK requires board elections to be conducted:

A. Before expiry so the new board assumes office immediately after the outgoing term B. Within six months after every board expires C. By the Election Commission of India D. Only when the Registrar receives a member petition

Answer: A.

Option-specific explanations:

- **A:** Correct. Article 243ZK seeks uninterrupted elected management by requiring pre-expiry election under the authority or body provided by law.
- **B:** Incorrect. The proposition 'Within six months after every board expires' changes the controlling category, condition or legal source. Article 243ZK seeks uninterrupted elected management by requiring pre-expiry election under the authority or body provided by law.
- **C:** Incorrect. The proposition 'By the Election Commission of India' changes the controlling category, condition or legal source. Article 243ZK seeks uninterrupted elected management by requiring pre-expiry election under the authority or body provided by law.
- **D:** Incorrect. The proposition 'Only when the Registrar receives a member petition' changes the controlling category, condition or legal source. Article 243ZK seeks uninterrupted elected management by requiring pre-expiry election under the authority or body provided by law.

Examiner trap 17: The Constitution does not assign cooperative elections to the ECI.

MCQ 18. Supersession protection

Under the text of Article 243ZL, a board shall not be superseded or suspended where:

A. It has any overdue return B. There is no government shareholding, loan, financial assistance or guarantee C. It is a society of individual members D. The audit contains a qualification

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'It has any overdue return' changes the controlling category, condition or legal source. The second proviso protects a society without the listed governmental financial links from supersession under the Part IXB mechanism.

- **B:** Correct. The second proviso protects a society without the listed governmental financial links from supersession under the Part IXB mechanism.
- **C:** Incorrect. The proposition 'It is a society of individual members' changes the controlling category, condition or legal source. The second proviso protects a society without the listed governmental financial links from supersession under the Part IXB mechanism.
- **D:** Incorrect. The proposition 'The audit contains a qualification' changes the controlling category, condition or legal source. The second proviso protects a society without the listed governmental financial links from supersession under the Part IXB mechanism.

Examiner trap 18: Apply this as Part IXB text within its surviving field; do not generalise it as direct State-field law after 2021.

MCQ 19. Banking supersession proviso

Which statement best handles Article 243ZL's banking provisos after Rajendra N. Shah?

A. Every cooperative bank always has a one-year constitutional supersession ceiling B. Banking law is irrelevant to cooperative-board supersession C. The text applies the Banking Regulation Act and substitutes one year for six months for a non-MSCS banking society, but that State-field command no longer directly binds after Rajendra N. Shah D. A multi-State cooperative bank can never be superseded

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Every cooperative bank always has a one-year constitutional supersession ceiling' changes the controlling category, condition or legal source. Article 243ZL text adds banking law and a one-year substitution only for a banking cooperative other than an MSCS; the judgment's State-field invalidity must then be stated.
- **B:** Incorrect. The proposition 'Banking law is irrelevant to cooperative-board supersession' changes the controlling category, condition or legal source. Article 243ZL text adds banking law and a one-year substitution only for a banking cooperative other than an MSCS; the judgment's State-field invalidity must then be stated.
- **C:** Correct. Article 243ZL text adds banking law and a one-year substitution only for a banking cooperative other than an MSCS; the judgment's State-field invalidity must then be stated.
- **D:** Incorrect. The proposition 'A multi-State cooperative bank can never be superseded' changes the controlling category, condition or legal source. Article 243ZL text adds banking law and a one-year substitution only for a banking cooperative other than an MSCS; the judgment's State-field invalidity must then be stated.

Examiner trap 19: Do not quote the one-year proviso without its 'other than a multi-State cooperative society' and post-2021 qualifications.

MCQ 20. Audit

Article 243ZM requires, among other things:

A. Quarterly CAG audit of every society B. Audit only on a Registrar's special order C. Appointment of every auditor by the RBI D. Annual audit completed within six months, by a qualified auditor chosen by the general body from an approved panel

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Quarterly CAG audit of every society' changes the controlling category, condition or legal source. Article 243ZM combines annual audit, legislated qualifications, general-body appointment from an approved panel, six-month completion and legislative laying of apex-society reports.
- **B:** Incorrect. The proposition 'Audit only on a Registrar's special order' changes the controlling category, condition or legal source. Article 243ZM combines annual audit, legislated qualifications, general-body appointment from an approved panel, six-month completion and legislative laying of apex-society reports.
- **C:** Incorrect. The proposition 'Appointment of every auditor by the RBI' changes the controlling category, condition or legal source. Article 243ZM combines annual audit, legislated qualifications, general-body appointment from an

approved panel, six-month completion and legislative laying of apex-society reports.

- **D:** Correct. Article 243ZM combines annual audit, legislated qualifications, general-body appointment from an approved panel, six-month completion and legislative laying of apex-society reports.

Examiner trap 20: Separate the annual frequency, appointment method and six-month completion deadline.

MCQ 21. General body

Article 243ZN contemplates the annual general body meeting:

A. Within six months of the close of the financial year B. Once in every five-year board term C. Only after audit objections are resolved D. At a date fixed by the Election Commission of India

Answer: A.

Option-specific explanations:

- **A:** Correct. Article 243ZN permits law requiring every society's annual general body meeting within six months of financial-year close.
- **B:** Incorrect. The proposition 'Once in every five-year board term' changes the controlling category, condition or legal source. Article 243ZN permits law requiring every society's annual general body meeting within six months of financial-year close.
- **C:** Incorrect. The proposition 'Only after audit objections are resolved' changes the controlling category, condition or legal source. Article 243ZN permits law requiring every society's annual general body meeting within six months of financial-year close.
- **D:** Incorrect. The proposition 'At a date fixed by the Election Commission of India' changes the controlling category, condition or legal source. Article 243ZN permits law requiring every society's annual general body meeting within six months of financial-year close.

Examiner trap 21: Do not merge the AGM clock with the board-election clock.

MCQ 22. Member information

Article 243ZO covers:

A. Public access to every document without restriction B. Member access concerning regular transactions, participation requirements and cooperative education/training C. Only an appeal to the Central Registrar D. Criminal penalties for false returns

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Public access to every document without restriction' changes the controlling category, condition or legal source. Article 243ZO has three limbs: member access to specified books/information/accounts, participation requirements, and cooperative education and training.
- **B:** Correct. Article 243ZO has three limbs: member access to specified books/information/accounts, participation requirements, and cooperative education and training.
- **C:** Incorrect. The proposition 'Only an appeal to the Central Registrar' changes the controlling category, condition or legal source. Article 243ZO has three limbs: member access to specified books/information/accounts, participation requirements, and cooperative education and training.
- **D:** Incorrect. The proposition 'Criminal penalties for false returns' changes the controlling category, condition or legal source. Article 243ZO has three limbs: member access to specified books/information/accounts, participation requirements, and cooperative education and training.

Examiner trap 22: It is a member-governance article, not a universal RTI clause.

MCQ 23. Returns

Which item is included in the Article 243ZP return?

A. Only the auditor's appointment letter B. Only the board's political affiliations C. Annual activities, audited accounts, surplus plan, bye-law amendments and meeting/election declaration D. A five-year development plan only

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Only the auditor's appointment letter' changes the controlling category, condition or legal source. Article 243ZP requires six-month returns covering activities, audited accounts, surplus disposal, bye-law changes, general meeting/election status and other Registrar-required information.
- **B:** Incorrect. The proposition 'Only the board's political affiliations' changes the controlling category, condition or legal source. Article 243ZP requires six-month returns covering activities, audited accounts, surplus disposal, bye-law changes, general meeting/election status and other Registrar-required information.
- **C:** Correct. Article 243ZP requires six-month returns covering activities, audited accounts, surplus disposal, bye-law changes, general meeting/election status and other Registrar-required information.
- **D:** Incorrect. The proposition 'A five-year development plan only' changes the controlling category, condition or legal source. Article 243ZP requires six-month returns covering activities, audited accounts, surplus disposal, bye-law changes, general meeting/election status and other Registrar-required information.

Examiner trap 23: Remember the return is a bundle of governance disclosures, not merely audited accounts.

MCQ 24. Article 243ZQ

Which is one of the offence families that law must include under Article 243ZQ?

A. Refusal to accept a government loan B. Failure to adopt a model bye-law C. A member's criticism of dividend policy D. Wilful false information, disobedience of lawful process, non-remittance of deductions, failure to hand over records or electoral corrupt practice

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Refusal to accept a government loan' changes the controlling category, condition or legal source. Article 243ZQ identifies five governance-related act/omission families that the relevant law must treat as offences.
- **B:** Incorrect. The proposition 'Failure to adopt a model bye-law' changes the controlling category, condition or legal source. Article 243ZQ identifies five governance-related act/omission families that the relevant law must treat as offences.
- **C:** Incorrect. The proposition 'A member's criticism of dividend policy' changes the controlling category, condition or legal source. Article 243ZQ identifies five governance-related act/omission families that the relevant law must treat as offences.
- **D:** Correct. Article 243ZQ identifies five governance-related act/omission families that the relevant law must treat as offences.

Examiner trap 24: Do not invent policy disagreement as a constitutional offence.

MCQ 25. State versus MSCS remedial

A society confined to one State is ordinarily incorporated and regulated by:

A. The applicable State cooperative law and State Registrar B. The Central Registrar under the MSCS Act C. RBI alone, even if it does no banking D. The Ministry of Cooperation through an executive order

Answer: A.

Option-specific explanations:

- **A:** Correct. Entry 32 places the ordinary intra-State cooperative within State legislation and the State Registrar architecture.

- **B:** Incorrect. The proposition 'The Central Registrar under the MSCS Act' changes the controlling category, condition or legal source. Entry 32 places the ordinary intra-State cooperative within State legislation and the State Registrar architecture.
- **C:** Incorrect. The proposition 'RBI alone, even if it does no banking' changes the controlling category, condition or legal source. Entry 32 places the ordinary intra-State cooperative within State legislation and the State Registrar architecture.
- **D:** Incorrect. The proposition 'The Ministry of Cooperation through an executive order' changes the controlling category, condition or legal source. Entry 32 places the ordinary intra-State cooperative within State legislation and the State Registrar architecture.

Examiner trap 25: Territorial objects and statutory registration, not national policy support, identify the registrar.

MCQ 26. MSCS elections remedial

The Co-operative Election Authority created by the 2023 amendment:

A. Conducts elections for every cooperative in India B. Conducts and controls elections of multi-State cooperative societies under the central Act C. Is a wing of the Election Commission of India D. Replaces State Registrars under Entry 32

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Conducts elections for every cooperative in India' changes the controlling category, condition or legal source. The Authority is an MSCS statutory institution with a Chairperson, Vice-Chairperson and not more than three Members; its jurisdiction follows the central Act.
- **B:** Correct. The Authority is an MSCS statutory institution with a Chairperson, Vice-Chairperson and not more than three Members; its jurisdiction follows the central Act.
- **C:** Incorrect. The proposition 'Is a wing of the Election Commission of India' changes the controlling category, condition or legal source. The Authority is an MSCS statutory institution with a Chairperson, Vice-Chairperson and not more than three Members; its jurisdiction follows the central Act.
- **D:** Incorrect. The proposition 'Replaces State Registrars under Entry 32' changes the controlling category, condition or legal source. The Authority is an MSCS statutory institution with a Chairperson, Vice-Chairperson and not more than three Members; its jurisdiction follows the central Act.

Examiner trap 26: Do not transfer an MSCS institution to State societies.

MCQ 27. 2023 member remedies remedial

Which pairing is correct under the amended MSCS Act?

A. Ombudsman-criminal conviction; Information Officer-banking licence B. Ombudsman-State legislative audit; Information Officer-public election roll C. Ombudsman-specified member grievances; Information Officer-member information requests D. Ombudsman-constitutional court; Information Officer-RBI inspector

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Ombudsman-criminal conviction; Information Officer-banking licence' changes the controlling category, condition or legal source. Section 85A creates a member-centred grievance mechanism, while section 106 requires an Information Officer to provide or reasonedly reject member information within the statutory period.
- **B:** Incorrect. The proposition 'Ombudsman-State legislative audit; Information Officer-public election roll' changes the controlling category, condition or legal source. Section 85A creates a member-centred grievance mechanism, while section 106 requires an Information Officer to provide or reasonedly reject member information within the statutory period.
- **C:** Correct. Section 85A creates a member-centred grievance mechanism, while section 106 requires an Information Officer to provide or reasonedly reject member information within the statutory period.

- **D:** Incorrect. The proposition 'Ombudsman-constitutional court; Information Officer-RBI inspector' changes the controlling category, condition or legal source. Section 85A creates a member-centred grievance mechanism, while section 106 requires an Information Officer to provide or reasonedly reject member information within the statutory period.

Examiner trap 27: These are statutory MSCS remedies, not courts, regulators or universal RTI offices.

MCQ 28. Registrar architecture remedial

Which institutional statement is correct?

A. The Ministry of Cooperation is the Registrar for all State societies B. The Central Registrar regulates all PACS C. RBI incorporates every non-banking cooperative D. State Registrars administer State-law societies, while the Central Registrar administers the MSCS Act

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'The Ministry of Cooperation is the Registrar for all State societies' changes the controlling category, condition or legal source. The two registrar systems follow Entries 32 and 44; banking regulation may overlay but does not replace incorporation authority.
- **B:** Incorrect. The proposition 'The Central Registrar regulates all PACS' changes the controlling category, condition or legal source. The two registrar systems follow Entries 32 and 44; banking regulation may overlay but does not replace incorporation authority.
- **C:** Incorrect. The proposition 'RBI incorporates every non-banking cooperative' changes the controlling category, condition or legal source. The two registrar systems follow Entries 32 and 44; banking regulation may overlay but does not replace incorporation authority.
- **D:** Correct. The two registrar systems follow Entries 32 and 44; banking regulation may overlay but does not replace incorporation authority.

Examiner trap 28: Separate Ministry policy, registrar administration and RBI prudential functions.

MCQ 29. Cooperative bank remedial

An Urban Cooperative Bank is best described as:

A. A cooperative entity under the applicable cooperative law with RBI banking regulation and supervision B. A municipal department supervised only by a State board C. A PACS automatically exempt from banking law D. A company with no cooperative-law identity

Answer: A.

Option-specific explanations:

- **A:** Correct. A UCB retains its cooperative incorporation and membership framework while the Banking Regulation Act and RBI govern its banking functions.
- **B:** Incorrect. The proposition 'A municipal department supervised only by a State board' changes the controlling category, condition or legal source. A UCB retains its cooperative incorporation and membership framework while the Banking Regulation Act and RBI govern its banking functions.
- **C:** Incorrect. The proposition 'A PACS automatically exempt from banking law' changes the controlling category, condition or legal source. A UCB retains its cooperative incorporation and membership framework while the Banking Regulation Act and RBI govern its banking functions.
- **D:** Incorrect. The proposition 'A company with no cooperative-law identity' changes the controlling category, condition or legal source. A UCB retains its cooperative incorporation and membership framework while the Banking Regulation Act and RBI govern its banking functions.

Examiner trap 29: Dual regulation means divided functions, not absence of regulation.

MCQ 30. PACS boundary remedial

Which statement about PACS is most accurate?

A. Every PACS is an RBI-licensed bank with DICGC cover B. PACS principally operate under State cooperative law and are not automatically authorised to conduct public banking business C. NABARD regulates PACS identically to DCCBs under section 35(6) D. PACS fall under Union List Entry 44 merely because they obtain refinance

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Every PACS is an RBI-licensed bank with DICGC cover' changes the controlling category, condition or legal source. PACS are primary cooperative credit societies under State law; they are outside the ordinary licensed cooperative-bank category unless the governing banking law specifically brings an entity within it.
- **B:** Correct. PACS are primary cooperative credit societies under State law; they are outside the ordinary licensed cooperative-bank category unless the governing banking law specifically brings an entity within it.
- **C:** Incorrect. The proposition 'NABARD regulates PACS identically to DCCBs under section 35(6)' changes the controlling category, condition or legal source. PACS are primary cooperative credit societies under State law; they are outside the ordinary licensed cooperative-bank category unless the governing banking law specifically brings an entity within it.
- **D:** Incorrect. The proposition 'PACS fall under Union List Entry 44 merely because they obtain refinance' changes the controlling category, condition or legal source. PACS are primary cooperative credit societies under State law; they are outside the ordinary licensed cooperative-bank category unless the governing banking law specifically brings an entity within it.

Examiner trap 30: Do not equate local agricultural credit activity with an RBI banking licence.

MCQ 31. Democratic-control remedial

Which reform most directly addresses elite capture without displacing cooperative identity?

A. Permanent supersession by government B. Voting power determined solely by outside capital C. Clean member rolls, timely elections, conflict disclosure and usable member information D. Abolition of general body meetings

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Permanent supersession by government' changes the controlling category, condition or legal source. Member-roll integrity, regular elections, conflict controls and information strengthen democratic member control while preserving the member-owned form.
- **B:** Incorrect. The proposition 'Voting power determined solely by outside capital' changes the controlling category, condition or legal source. Member-roll integrity, regular elections, conflict controls and information strengthen democratic member control while preserving the member-owned form.
- **C:** Correct. Member-roll integrity, regular elections, conflict controls and information strengthen democratic member control while preserving the member-owned form.
- **D:** Incorrect. The proposition 'Abolition of general body meetings' changes the controlling category, condition or legal source. Member-roll integrity, regular elections, conflict controls and information strengthen democratic member control while preserving the member-owned form.

Examiner trap 31: Professionalisation should supplement, not replace, member sovereignty.

MCQ 32. Autonomy-accountability remedial

Which formulation best balances cooperative autonomy and accountability?

A. No prudential regulation because members bear all risk B. Uniform central command over every State society C. Government nomination of every board member D. Member-led governance with professional management, proportionate audit, timely elections and function-wise regulatory coordination

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'No prudential regulation because members bear all risk' changes the controlling category, condition or legal source. Article 43B's values are best realised when autonomy, democracy, professionalism and accountability operate together under the constitutionally competent legal regime.
- **B:** Incorrect. The proposition 'Uniform central command over every State society' changes the controlling category, condition or legal source. Article 43B's values are best realised when autonomy, democracy, professionalism and accountability operate together under the constitutionally competent legal regime.
- **C:** Incorrect. The proposition 'Government nomination of every board member' changes the controlling category, condition or legal source. Article 43B's values are best realised when autonomy, democracy, professionalism and accountability operate together under the constitutionally competent legal regime.
- **D:** Correct. Article 43B's values are best realised when autonomy, democracy, professionalism and accountability operate together under the constitutionally competent legal regime.

Examiner trap 32: Neither maximal State control nor complete deregulation is a cooperative reform.

PYQS AND ANSWER PRACTICE

Verified PYQ routing

No direct standalone Polity PYQ on the 97th Amendment, Part IXB or *Rajendra N. Shah* was verified. The following questions are retained only because they directly test cooperative-banking or collective-operation interfaces. Wording was checked against the released papers; option letters below follow the UPSC final keys. They are not relabelled as direct Polity PYQs.

PYQ 1 - UPSC Prelims 2020 GS-I, Q59

> Consider the following statements: 1. In terms of short-term credit delivery to the agriculture sector, District Central Cooperative Banks (DCCBs) deliver more credit in comparison to Scheduled Commercial Banks and Regional Rural Banks. 2. One of the most important functions of DCCBs is to provide funds to the Primary Agricultural Credit Societies. Which of the statements given above is/are correct? (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

Official final key: B - 2 only.

Solution: Statement 2 describes the intermediate-tier financing role of DCCBs toward PACS. Statement 1 is an overbroad comparative-credit claim. The question tests the rural cooperative-credit hierarchy, not constitutional status.

PYQ 2 - UPSC Prelims 2021 GS-I, Q5

> With reference to "Urban Cooperative Banks" in India, consider the following statements: 1. They are supervised and regulated by local boards set up by the State Governments. 2. They can issue equity shares and preference shares. 3. They were brought under the purview of the Banking Regulation Act, 1949 through an Amendment in 1966. Which of the statements given above is/are correct? (a) 1 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Official final key: B - 2 and 3 only.

Solution: Statement 1 is false because banking regulation and supervision are not vested in State-created local boards. Statements 2 and 3 reflect the capital framework and the 1966 extension of the Banking Regulation Act to cooperative banks. The elimination turns on separating cooperative registration from RBI banking oversight.

PYQ 3 - UPSC Prelims 2023 GS-I, Q26

> Which one of the following best describes the concept of "Small Farmer Large Field"? (a) Resettlement of war-displaced people on a large collectively cultivated field (b) Many marginal farmers in an area organise themselves into groups and synchronise and harmonise selected agricultural operations (c) Marginal farmers surrender land to a corporate body for a fixed term and payment (d) A company supplies loans, knowledge and inputs so farmers produce its required commodity

Official final key: B.

Solution: The concept coordinates selected operations across separately held small farms to gain scale. It neither transfers ownership to a corporate body nor describes contract farming or refugee resettlement. Its relevance here is the cooperative logic of operational pooling.

Original solved Mains practice - exactly six models

Mains 1 - 10 marks | 150 words

Explain the present constitutional position of cooperative societies after Union of India v. Rajendra N. Shah (2021).

Model solution

The 97th Amendment created three constitutional effects. It added cooperative societies to **Article 19(1)(c)**, protecting citizens' freedom to form them subject to Article 19(4). **Article 43B** directs the State to promote voluntary formation, autonomy, democratic control and professional management. Both survive.

Third, it inserted **Part IXB**. In **Union of India v. Rajendra N. Shah (2021)**, the Supreme Court held that detailed governance commands affecting the State field under **Entry 32** required ratification by at least half the States under Article 368(2). That ratification was absent. The majority therefore invalidated Part IXB only insofar as it applied to State cooperative societies, while severing and saving its operation for **multi-State cooperative societies under Entry 44** through Article 243ZR.

Thus, State societies remain governed by State law, while the formation right, DPSP and multi-State framework continue. The judgment corrected federal overreach; it did not strike down the whole Amendment.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 2 - 10 marks | 150 words

Distinguish State cooperative societies from multi-State cooperative societies in incorporation, regulation, elections and audit.

Model solution

The distinction turns on territorial objects and competence, not merely on where members reside.

State societies: Under **State List Entry 32**, a society whose objects are confined to one State is incorporated, regulated and wound up under the State Act. The State Registrar and State election and audit machinery apply. After **Rajendra N. Shah***, Part IXB does not directly bind this field, though Articles 19(1)(c), 43B and judicial review remain.

Multi-State societies: Under **Union List Entry 44**, a society whose objects are not confined to one State is registered and regulated under the **MSCS Act, 2002**, by the Central Registrar. Part IXB survives through Article 243ZR. The 2023 amendment adds the Co-operative Election Authority, member Ombudsman, Information Officer and strengthened audit/governance controls.

If either category conducts banking, **Entry 45**, banking law and RBI oversight may overlay incorporation. Cooperative law determines identity; sectoral law regulates specialised activity.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 3 - 15 marks | 250 words

Critically examine the 97th Constitutional Amendment and the Rajendra N. Shah judgment as an illustration of cooperative federalism.

Model solution

The 97th Amendment sought to cure politicised elections, weak audit and excessive State control by giving cooperatives a national constitutional framework. It added a formation freedom in **Article 19(1)(c)**, the four-fold policy directive in **Article 43B**, and the governance code in **Part IXB**.

The federal difficulty lay in method. **Entry 32, State List** assigns incorporation, regulation and winding up of ordinary cooperative societies to States. Part IXB prescribed board composition, elections, supersession, audit, meetings, returns and offences, thereby substantially conditioning State legislative choice even though Entry 32's wording remained unchanged.

In **Union of India v. Rajendra N. Shah (2021)**, the majority held that such alteration attracted the proviso to **Article 368(2)** and required ratification by at least half the State Legislatures. Because ratification was absent, Part IXB could not operate in the State field. Yet **Article 243ZR** made the multi-State scheme severable: societies with objects not confined to one State fall under **Entry 44, Union List**, so Part IXB survived for them. Articles 19(1)(c) and 43B also remained untouched.

The judgment protects States from indirect constitutional centralisation while preserving Parliament's legitimate multi-State field. However, divergent State standards may continue, and the dissent questioned whether the Part was sufficiently separable.

The correct reform route is therefore cooperative federalism: States legislate and implement robust member-centred standards; Parliament regulates MSCS and banking within its fields; national policy supplies coordination, capacity and incentives without substituting competence.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 4 - 15 marks | 250 words

Assess whether the Multi-State Co-operative Societies (Amendment) Act, 2023 balances democratic autonomy with governance accountability.

Model solution

The 2023 amendment addresses recurring MSCS failures through specialised institutions rather than relying only on discretionary Registrar control.

Democratic accountability: The **Co-operative Election Authority** supervises electoral rolls and conducts board elections. Secret ballot and advance notice before term expiry target delayed or manipulated elections. This supports member sovereignty, although appointment transparency and reasoned procedures remain important.

Board integrity: The amended Act retains the twenty-one-director ceiling and qualified representation, while conflict-of-interest and relative-recruitment restrictions address insider control. Professional expertise should supplement, not replace, elected authority.

Financial discipline: Annual statutory audit continues; section 70A permits concurrent audit for government-notified large societies. The rehabilitation, reconstruction and development fund creates a contribution-based response to sickness, with RBI approval where a multi-State cooperative bank is involved. Audit filing alone, however, cannot guarantee timely corrective action.

Member remedies: Section 85A establishes a **Co-operative Ombudsman** for specified member complaints, and section 106 requires a **Co-operative Information Officer**. These reduce information asymmetry and internal power imbalance, subject to fair hearing and workable appeal.

The amendment therefore strengthens elections, disclosure, grievance redress and resilience within the constitutionally valid **Entry 44** field. Its balance will depend on implementation that is proportionate, digitally inclusive and coordinated with RBI and other sectoral regulators. It is a statutory governance reform for MSCS, not a transfer of Entry 32 competence or a substitute for democratic participation.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 5 - 20 marks | 250 words

Analyse the regulatory architecture of cooperative banks and the tensions between member control and depositor protection.

Model solution

A cooperative bank combines two legal identities. Its cooperative personality is created under a State cooperative law or, where objects cross State boundaries, the **MSCS Act**. Its deposit-taking and banking business falls under **Union List Entry 45**, the Banking Regulation Act and RBI supervision.

The **Registrar** therefore handles incorporation, membership, bye-laws, elections and specified management matters within the applicable cooperative statute. **RBI** controls licensing, prudential norms, capital, management-related safeguards, audit and reconstruction powers under banking law. The 2020 amendment strengthened this prudential role for covered cooperative banks. **NABARD** inspects and supervises State Cooperative Banks and District Central Cooperative Banks under its statutory mandate and supports rural credit development. PACS remain principally State-law credit societies and are not automatically RBI-licensed banks or DICGC-insured deposit institutions.

This overlap is justified because democratic member control cannot replace depositor protection, asset-quality review or connected-lending discipline. Conversely, prudential intervention should not erase lawful member participation. Problems arise when fragmented supervision diffuses accountability, political influence distorts credit, boards lack expertise, or corrective action is delayed.

Reform should allocate lead responsibility by function, share supervisory data, strengthen fit-and-proper and conflict rules, ensure independent risk-based audit, and protect timely member elections and information. A dairy or housing society should not be regulated like a bank; a deposit-taking cooperative should not invoke autonomy against prudential law.

The goal is coordinated multiple regulation: member-led ownership with professional governance and non-negotiable depositor protection.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 6 - 20 marks | 250 words

Cooperatives can deepen inclusive development, yet democratic ownership does not automatically produce democratic outcomes. Discuss and suggest reforms.

Model solution

Cooperatives can aggregate small producers, borrowers, consumers or residents who individually lack scale. PACS illustrate local credit organisation; dairy cooperatives show pooling, processing and marketing; housing societies organise common property and services. These examples explain forms, not universal performance.

The development mechanism is clear: joint purchase or sale lowers transaction costs, collective bargaining improves market access, and member ownership can retain value locally. **Article 19(1)(c)** protects formation, while **Article 43B** links autonomy to democratic control and professional management.

However, formal membership may conceal unequal power. Passive members permit elite capture; political interference and delayed elections entrench boards; weak audit hides related-party decisions; thin capital and poor management reduce viability. In cooperative banks, member pressure can conflict with depositor protection and prudential discipline. State support may then produce dependence rather than autonomy.

Reform must repair each causal failure:

1. verify membership and voter rolls, and hold timely independent elections;
2. professionalise boards and executives without displacing elected member control;
3. require conflict disclosure, usable accounts and risk-based audit;
4. provide member information, education and credible grievance redress;
5. coordinate Registrar, RBI and NABARD responsibilities by function;
6. use secure digital systems with offline access and cybersecurity safeguards; and
7. evaluate member use, service quality and financial resilience rather than registration totals.

Because ordinary societies remain under **Entry 32** after **Rajendra N. Shah***, national reform must respect State competence. Cooperatives succeed when autonomy, active participation, professional capacity and proportionate accountability reinforce one another.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

Cooperative Societies (97th Amendment) - ADVANCED / COMPLETE

> **Subject:** Polity · **Tier:** Advanced (exam depth) · **GS Paper:** GS-II **Grounded in:** Indian Polity by M. Laxmikant (97th Amendment section; direct check of the local Sixth Revised Edition PDF) + official court update. FACT: = from source book · ANALYSIS: = inference / case law · CURRENT: = official/court-verified update. *Companion:* `basic/Cooperative-Societies.md`.

PART A - THE 97th CONSTITUTIONAL AMENDMENT ACT, 2011 □□

FACT: Gave **constitutional status & protection** to co-operative societies through **three changes**:

#	Change	Provision
1	FACT: **Right to form co-operative societies** made a **Fundamental Right**	**Article 19(1)(c)** (added "co-operative societies")
2	FACT: New **Directive Principle** on promotion of co-operatives	**Article 43-B**
3	FACT: New **Part IX-B "The Co-operative Societies"**	**Articles 243-ZH to 243-ZT**

FACT: Part IX-B ensures co-operatives function in a **democratic, professional, autonomous & economically sound** manner.

- FACT: **Parliament** legislates for **multi-state** co-operatives; **State Legislatures** for **other** co-operatives.

Key features of Part IX-B ANALYSIS: (exam-relevant detail)

- Board members **max 21**; **fixed 5-year term** for board & office-bearers.
- **Reservation** - one SC/ST and two women seats where the society's individual

membership includes those categories.

- **Audit** within six months; supersession ordinarily cannot exceed six months, while a cooperative carrying on banking business has the separate constitutional ceiling. No supersession applies under the Part IXB text where there is no government shareholding, loan, financial assistance or guarantee.
- Members' **right to information** about the society.

PART B - SUPREME COURT VERDICT (the big twist) □□

CURRENT: **Union of India v. Rajendra N. Shah (2021)*** - the SC (3-judge bench, 2:1) held that **Part IX-B is ultra vires** insofar as it applies to **co-operative societies under STATE legislatures**, because the amendment **was not ratified by at least half the state legislatures** as required by **Article 368(2)** (co-operatives being a **State List - Entry 32** subject).

- FACT: **BUT** Part IX-B **survives for MULTI-STATE co-operative societies** (and UTs) - the Court applied the

doctrine of severability.

ANALYSIS: Net effect: the constitutional framework now binds **only multi-state** co-operatives; **single-state** co-operatives revert to the respective **state laws**.

UPSC Traps

- WRONG: 97th Amendment made "co-operatives" an entry in the Union List -> co-operatives are a **State List (Entry 32)**

subject; that's *why* Part IX-B needed state ratification.

- WRONG: The whole 97th Amendment was struck down -> **only Part IX-B's application to state co-operatives** was struck;

Art 19(1)(c) & Art 43-B survive intact, and Part IX-B survives for **multi-state** co-ops.

- WRONG: Art 43-B is a Fundamental Right -> it is a **DPSP** (the FR is **Art 19(1)(c)**).
- WRONG: Part IX-B is the Panchayat article range -> it is **243-ZH to 243-ZT**.
- WRONG: Part IX-A = co-operatives -> **Part IX-A = Municipalities (74th Amdt)**; **Part IX-B = co-operatives**.

CURRENT: CA hooks (official/court-verified)

- CURRENT: **Ministry of Cooperation** carved out (**July 2021**) with the motto

"Sahakar se Samriddhi" - earlier co-operation was under the Agriculture Ministry.

- CURRENT: **Multi-State Co-operative Societies (Amendment) Act, 2023** - created a **Co-operative Election Authority**, **Co-operative Ombudsman**, **Co-operative Information Officer** and a **Co-operative Rehabilitation, Reconstruction & Development Fund**, with strengthened audit and governance controls.
- CURRENT: New national bodies: **NCOL** (Organics), **NCEL** (Exports), **BBSSL** (Seeds); a national **cooperative

database**; PACS computerisation drive.

Mains angles

- "Co-operatives are State subjects but need national vision." Examine the 97th Amendment and the 2021 SC verdict

through the lens of federalism.

- The new Ministry of Cooperation: reviving the co-operative movement or centralising a State subject?
- Governance deficits in co-operatives (politicisation, mismanagement) and reforms under the 2023 Amendment.

CONSOLIDATED REGISTER NOTES

Final Consolidated Register Notes

Constitutional Identity and Federal Base

> **Rapid thesis:** `[FACT]` Cooperative societies combine a protected freedom of formation, a DPSP policy anchor and a territorially divided statutory regime; detailed constitutional governance survives only in the valid multi-State field.

Visual 80 - One-Page Master Map

```
COOPERATIVE
  |
  +-> Article 19(1)(c): qualified right to form
  +-> Article 43B: voluntary + autonomous + democratic + professional
  |
  +-> confined to one State -> Entry 32 -> State Act/Registrar
  +-> objects beyond one State -> Entry 44 -> MSCS Act/CRCS
  +-> banking activity -> Entry 45 -> RBI (+ NABARD for StCB/DCCB supervision)
  |
  +-> Part IXB -> operative for MSCS after Union of India v. Rajendra N. Shah (2021)
```

Cooperative Principles: Source Control

Principle	Recall	Source caution
Voluntary/open membership	Entry by choice and responsibility	ICA norm; statute/bye-laws control legal detail
Democratic member control	Member voice	Exact voting rule is law-specific
Economic participation	Equitable member contribution/control	Not a ban on all external capital
Autonomy	Member-led institution	Not regulatory immunity
Education	Member/representative capacity	Implementation must be real
Cooperation among cooperatives	Scale through networks	Avoid bureaucratic federation
Concern for community	Sustainable community policy	Not an unlimited charitable mandate

Evolution and Critical Dates

```
1904 credit law -> 1912 broader law -> 1919/1935 provincial subject
-> 1950 Entry 32/44 split
-> 27-28 Dec 2011 Parliament passes 97th
-> 12 Jan 2012 assent -> 13 Jan publication -> 15 Feb commencement
-> 20 Jul Union of India v. Rajendra N. Shah (2021)
-> 6 Jul 2021 Ministry created
-> 3/4 Aug 2023 MSCS Amendment Act/Rules
-> National Cooperation Policy 2025
```

97th Amendment: Three Separate Effects

Change	Status after 2021	Trap
Article 19(1)(c)	Survives	Formation, not guaranteed recognition/aid
Article 43B	Survives	DPSP, non-justiciable
Part IXB	State-field application invalid; MSCS field survives	Do not say entire Amendment struck

Union of India v. Rajendra N. Shah (2021) Federalism Note

- `[FACT]` Entry 32 gave States the intra-State cooperative field.
- `[FACT]` Part IXB substantially conditioned that field.
- `[FACT]` Article 368(2) proviso therefore required half-State ratification.
- `[FACT]` Ratification was absent.
- `[FACT]` Majority severed the invalid State-field application.
- `[FACT]` Article 243ZR saved the MSCS scheme under Entry 44.
- `[LIMIT]` Para 78: no Part IXB application to a cooperative confined within one UT.
- `[FACT]` Para 80: Part IXB operative for MSCS within States and in UTs.
- `[ANALYSIS]` Best formula: **"MSCS in States and UTs", not "MSCS plus every UT society".**

Visual 81 - Part IXB Recall Chain

```
ZH Define
ZI Incorporate
ZJ Board
ZK Elect
ZL Supersede
ZM Audit
ZN General meeting
ZO Information
ZP Returns
ZQ Offences
ZR Multi-State
ZS Union Territories
ZT Transition
```

Part IXB Numeric and Qualification Sheet

Item	Recall
Board ceiling	21
Reservation	1 SC or ST + 2 women; individual membership/category qualification
Co-opted experts	Up to 2 beyond 21; no office-bearer-election vote; no office
Board term	5 years
General supersession ceiling	6 months
No-government-finance protection	No supersession under text where no share/loan/assistance/guarantee
Audit	Annual; complete within 6 months
AGM	Within 6 months of year close
Returns	Within 6 months

State and Multi-State Regimes

Question	State society	MSCS
Law	State Act	MSCS Act 2002
Registrar	State Registrar	Central Registrar
Part IXB detail	Not binding constitutional command	Operative
Similar standards	May come from State law	Constitution + statute
Banking overlay	Add if covered	Add if covered

2023 MSCS Reform Recall

> **Mnemonic: "E-B-A-G-I-R-M" E**lection Authority | **B**oard integrity | **A**udit | **G**rievance Ombudsman | **I**nformation Officer | **R**ehabilitation Fund | **M**erger route

- `[FACT]` Election Authority: Chairperson + Vice-Chairperson + not more than 3 Members.
- `[FACT]` Secret ballot; five-year board; six-month advance election intimation.
- `[FACT]` Section 41: 21 ceiling, qualified representation, conflict/nepotism controls.
- `[FACT]` Section 63A: profitable previous three years; Rs 1 crore or 1% net profit, lower.
- `[FACT]` Section 63B: statutory sickness test; RBI approval for bank reconstruction.
- `[FACT]` Section 70A: concurrent audit for government-determined large-society threshold.
- `[FACT]` Section 85A: member deposits/equitable benefits/individual rights; three-month adjudication target.
- `[FACT]` Section 106: Information Officer; 30-day provide/reject; Ombudsman appeal.
- `[FACT]` State cooperative-to-MSCS merger: two-thirds present/voting, subject to State Act.

Ministry and Policy Boundary

```
Ministry = executive Union policy/administration
CRCS = statutory MSCS registrar
State Registrar = State-law society administration
Policy/model bye-law/portal != constitutional competence transfer
```

Cooperative Banking Sheet

Institution	Key control
UCB	Cooperative law + RBI
State Cooperative Bank	State law + RBI regulation + NABARD supervision
DCCB	State law + RBI regulation + NABARD supervision
PACS	State law; not automatically RBI-licensed bank; not NABARD statutory supervised entity

- `[FACT]` 2020 banking amendment: stronger RBI governance/prudential role for covered cooperative banks.
- `[FACT]` UCB application deemed from 29 June 2020; rural cooperative banks from 1 April 2021.
- `[LIMIT]` RBI prudential control does not erase Registrar/member-law functions.
- `[LIMIT]` PACS must not be equated with a licensed bank.

Article 12, Writ and RTI

```
ARTICLE 12:
Ajay Hasia indicators -> Pradeep Kumar Biswas domination/pervasive-control test
ordinary regulation alone insufficient

ARTICLE 226:
broader; public/statutory duty can attract writ

RTI:
Thalappalam Service Cooperative Bank (2013) -> no automatic section 2(h) status
ownership/control/substantial finance are fact-specific
section 2(f) can reach information accessible to a public authority
```

Governance Strengths and Failure Chains

Strength	Failure	Reform
Aggregation	Managerial weakness	Professional capacity
Local ownership	Elite/political capture	Active membership and disclosure
Democratic election	Delay/manipulation	Independent timely process
Last-mile credit	Connected lending	Prudential oversight
Shared surplus	Thin capital	Reserve/capital strategy
Federation/scale	Bureaucratisation	Subsidiarity and member information

Visual 82 - Reform Answer Spine

```
MEMBER-CENTRIC GOVERNANCE
   + timely independent elections
   + professional board/CEO with conflict rules
   + transparent risk-based audit and data
   + Information Officer and grievance redress
   + RBI-NABARD-Registrar coordination
   + secure, inclusive technology
   = autonomy with prudential and democratic accountability
```

Prelims Trap Register

1. Part IXA = Municipalities; Part IXB = Cooperatives.
2. Article 19(1)(c) = FR; Article 43B = DPSP.
3. Entry 32 = intra-State societies; Entry 44 = objects not confined to one State.
4. Entry 45 banking can overlay either cooperative-law base.
5. Whole 97th Amendment was not struck down.
6. State cooperatives are not bound by Part IXB specifics after 2021.
7. "All UT cooperatives covered" is unsafe.
8. 21 is board ceiling; co-opted/functional qualifications matter.
9. Reservation rule is qualified by individual/category membership.
10. Election Authority under MSCS Act is not ECI or a State-wide cooperative body.
11. A live concurrent-audit threshold must be sourced to the current notification, not treated as permanent section wording.
12. Ministry of Cooperation does not replace State Registrars.
13. PACS is not automatically a bank.
14. Article 12, Article 226 and RTI section 2(h) use different tests.
15. ICA principle is not automatically enforceable law.

PYQ Route and Answer Framework

- `[FACT]` No direct standalone routed Polity PYQ was verified.
- `[FACT]` Adjacent verified papers: 2020 DCCB, 2021 UCB, 2023 Small Farmer Large Field.

- `[LIMIT]` Their keys are labelled inferred because official keys were unavailable locally.

10-mark: define/status -> three constitutional changes -> *Rajendra* limit -> verdict. **15-mark:** federal entries -> amendment procedure -> severance -> State/MSCS regimes -> current statute -> balanced conclusion. **20-mark:** concept/principles -> constitutional/federal architecture -> Part IXB/statute -> banking/status/governance -> reform.

Final 20-Second Recall

```
19(1)(c) FORM
43B PROMOTE
IXB GOVERN
ENTRY 32 STATE
ENTRY 44 MULTI-STATE
ENTRY 45 BANKING
RAJENDRA = RATIFICATION + SEVERANCE
2023 = ELECTION + AUDIT + OMBUDSMAN + INFORMATION + FUND
THALAPPALAM SERVICE COOPERATIVE BANK (2013) = NOT AUTOMATIC RTI PUBLIC AUTHORITY
REFORM = MEMBER CONTROL + PROFESSIONAL / PRUDENTIAL ACCOUNTABILITY
```

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

```
ASCII MASTER FLOW - PANEL 1/12: Identity, forms and principles
ROOT QUESTION
How can a member-owned enterprise create scale without surrendering democratic control?

IDENTITY
voluntary association -> jointly owned enterprise -> democratic member control -> common need.

FORMS AS EXPLANATION
PACS/credit -> local finance | dairy -> pooling/processing | housing -> common property/services.
Examples explain functions; they do not prove current numbers or universal success.

SEVEN PRINCIPLES
voluntary/open membership | democratic control | member economic participation | autonomy
| education/training/information | cooperation among cooperatives | concern for community.

SOURCE LIMIT
ICA principles are normative; enforceability follows the applicable Act, rules and bye-laws.

ASCII MASTER FLOW - PANEL 2/12: Statutory origin and federal location
1904 credit law -> 1912 general cooperative law -> 1919/1935 provincial field
-> 1950 constitutional competence split.

PRE-2011 POSITION
Cooperatives already had statutory personality under State or central law.
The 97th Amendment constitutionalised values/rules; it did not create the legal form.

ENTRY 32, STATE LIST
incorporation, regulation and winding up of State-field cooperative societies.

ENTRY 44, UNION LIST
corporations, trading or not, whose objects are not confined to one State.

ENTRY 45, UNION LIST
banking overlay where the cooperative carries on regulated banking business.

ASCII MASTER FLOW - PANEL 3/12: The 97th Amendment's three effects
CONSTITUTION (NINETY-SEVENTH AMENDMENT) ACT, 2011
assent 12 Jan 2012 -> Gazette 13 Jan 2012 -> effective 15 Feb 2012.

1. ARTICLE 19(1)(c)
citizens' freedom to form cooperative societies; reasonable restrictions under Article 19(4).

2. ARTICLE 43B
DPSP: voluntary formation + autonomous functioning + democratic control
+ professional management; non-justiciable but fundamental in governance.

3. PART IXB
Articles 243ZH-243ZT: detailed governance code.

TRAP
The three effects have separate legal characters and separate post-2021 consequences.

ASCII MASTER FLOW - PANEL 4/12: Rajendra N. Shah - ratification and severability
ENTRY 32 STATE FIELD
        |
Part IXB substantially conditioned State legislation
        |
Article 368(2) proviso required ratification by at least half the States
        |
ratification absent
        |
STATE-FIELD OPERATION OF PART IXB INVALID.

MAJORITY SEVERANCE
Article 243ZR + Entry 44 -> Part IXB survives for multi-State cooperative societies.

UNTOUCHED
Article 19(1)(c) + Article 43B.

TRAP
The whole 97th Amendment was not struck down; use the majority, not the dissent, as law.

ASCII MASTER FLOW - PANEL 5/12: Articles 243ZH-243ZJ
243ZH DEFINITIONS
authorised person | board | cooperative society | multi-State cooperative society
| office bearer | Registrar | State Act | State-level cooperative society.
```

243ZI
law on incorporation/regulation/winding up based on voluntary formation,
democratic member control, member economic participation and autonomous functioning.

243ZJ
board ceiling 21 | one SC or ST seat + two women seats where membership condition exists
| elected board/office-bearer term 5 years | casual vacancy nomination only if remaining
term is less than half | up to 2 expert co-options beyond 21 | no office-bearer-election
vote/no office for co-opted experts | functional directors excluded from ceiling.

POST-2021 LABEL
Detailed commands operate in the surviving multi-State field, not directly for State societies.

ASCII MASTER FLOW - PANEL 6/12: Articles 243ZK-243ZL
243ZK ELECTION
before outgoing term expires -> new board assumes immediately on expiry.
Electoral-roll preparation and election control vest in the authority/body created by law.

243ZL GROUNDS
persistent default | negligence | prejudicial act | board stalemate | election-body failure.

GENERAL TEXTUAL CEILING
six months; administrator must complete election and hand management to elected board.

AUTONOMY PROVISO
no supersession/suspension where no government share, loan, financial assistance or guarantee.

BANKING PROVISOS
Banking Regulation Act also applies; one-year substitution is textually only for a banking
cooperative other than an MSCS. After Rajendra N. Shah, that State-field command is not directly
binding.

ASCII MASTER FLOW - PANEL 7/12: Articles 243ZM-243ZQ
243ZM AUDIT
annual accounts | legislated auditor qualifications | general-body appointment from approved panel
| completion within 6 months | apex-society audit report laid before legislature as law provides.

243ZN AGM
within 6 months of financial-year close.

243ZO MEMBER GOVERNANCE
access to transaction-related books/information/accounts | minimum participation/service use
| cooperative education and training.

243ZP RETURNS WITHIN 6 MONTHS
activities | audited accounts | surplus plan | bye-law changes | AGM/election declaration
| other Registrar-required information.

243ZQ OFFENCE FAMILIES
false information | disobeying lawful process | employee-deduction non-remittance within 14 days
| failure to hand over records/property | corrupt electoral practice.

ASCII MASTER FLOW - PANEL 8/12: Articles 243ZR-243ZT and operative regimes
243ZR MULTI-STATE ADAPTATION
State Legislature/Act/Government -> Parliament/Central Act/Central Government.

243ZS UNION TERRITORY TEXT
administrator for UT without legislature; UT legislature where present; presidential exclusion
possible.
Read with Rajendra N. Shah: safest operative formula is Part IXB for the valid multi-State field,
including MSCS operations in UTs; do not assert blanket coverage of every UT-confined society.

243ZT TRANSITION
inconsistent pre-amendment law continued only until competent amendment/repeal or one year,
whichever was earlier; it is not permanent validation.

STATE SOCIETY
Entry 32 -> State Act/rules/bye-laws -> State Registrar/election/audit machinery.

MSCS
Entry 44 -> MSCS Act 2002 -> Central Registrar -> surviving Part IXB.

ASCII MASTER FLOW - PANEL 9/12: MSCS Act 2002 as amended in 2023
INCORPORATION / REGULATION / WINDING UP
Central Registrar under section 4 and the central Act.

```
ELECTION AUTHORITY
Chairperson + Vice-Chairperson + not more than 3 Members; MSCS electoral rolls/elections.

MEMBER REMEDIES
Co-operative Ombudsman -> specified member grievances.
Co-operative Information Officer -> provide or reasonedly reject member information.

GOVERNANCE CONTROLS
conflict/nepotism restrictions | annual audit | delegated concurrent audit for notified large MSCS
| rehabilitation/reconstruction/development fund | State-society-to-existing-MSCS merger route.

LIMIT
These are statutory MSCS mechanisms, not constitutional bodies or State-wide authorities.

ASCII MASTER FLOW - PANEL 10/12: Cooperative banking boundaries
COOPERATIVE-LAW IDENTITY
State society -> State Registrar | MSCS -> Central Registrar.

BANKING IDENTITY
Entry 45 + Banking Regulation Act as applicable -> RBI licensing/prudential supervision.
2020 amendment strengthened RBI governance, capital, audit and reconstruction tools.

RURAL SUPERVISION
NABARD statutory inspection/supervision for State Cooperative Banks and DCCBs.

PACS FIREWALL
primarily State-law credit society | not automatically RBI-licensed | no automatic DICGC cover
| cannot conduct unauthorised public banking or freely use 'bank'.

VERDICT
multiple regulation is justified by different functions; coordination prevents accountability gaps.

ASCII MASTER FLOW - PANEL 11/12: Democracy, capture and reform
DEMOCRATIC PROMISE
member voice + aggregation + local surplus + community knowledge.

FAILURE CHAIN
passive membership -> elite/political capture -> delayed elections -> weak audit
-> related decisions/poor credit -> weak capital/service -> member or depositor harm.

REFORM CHAIN
clean rolls -> timely independent elections -> professional management
-> conflict disclosure -> usable risk-based audit -> member information/grievance remedy
-> RBI/NABARD/Registrar coordination -> secure inclusive digitisation.

BALANCE
autonomy without accountability permits capture;
control without autonomy converts cooperation into administration.

ASCII MASTER FLOW - PANEL 12/12: Current policy, PYQs and answer spine
MINISTRY OF COOPERATION
executive allocation of business from 6 July 2021; policy/coordination and MSCS administration.

NATIONAL COOPERATION POLICY 2025
launched 24 July 2025; policy framework, not constitutional law or Entry 32 transfer.

VERIFIED ADJACENT PRELIMS ROUTES
2020 DCCB -> official final key B | 2021 UCB -> official final key B
| 2023 Small Farmer Large Field -> official final key B.
They test banking/agricultural interfaces; no direct Polity PYQ is invented.

MAINS SPINE
identity/principles -> pre-2011 statute -> Entries 32/44/45 -> 97th Amendment
-> Rajendra N. Shah -> Part IXB clause map -> State/MSCS split -> 2023 Act
-> banking tensions -> member-centred reform.

QUALIFIED CONCLUSION
Cooperation must remain cooperative in both enterprise design and federal method:
member control under professional accountability, pursued through constitutionally valid law.
```